

Global Equity Strategy

The Consumer: be selective

Equity Strategy

Global

We look at consumer plays in Europe, US and China.

Our concerns about the European consumer. There are several headwinds for the European consumer. First, even if the conflict ends tomorrow, we are left with gas at elevated price levels (120% above pre-conflict scenario in Q4 26), oil at 40% above pre-conflict scenario in end-26 (each 10% on oil takes 0.2% off consumption), food being affected by fertiliser prices (we are at peak planning season and if fertiliser prices are up c30%, then this leads to a c10% increase in food prices, adding c0.5% to CPI) and potentially higher rates (UBS forecast 2 rate hikes compared to none pre-conflict and we estimate each 50bps on rates taking 0.3% off consumption). The offset would be fiscal gifts to the household (which appear to be tiny compared to 2022/3), dis-saving (with current savings ratios being abnormally high) and slightly higher wage growth (though the ECB wage tracker shows little sign of this). Thus, we think it is quite feasible that consumption is c1%+ lower than pre-conflict estimates. Even employment growth has faded, running at just 0.1% QoQ in Q1 and 0.5% YoY in EZ and is negative in the UK.

The consumer sectors, particularly retailing, outperforms when the Euro or Sterling strengthen (as typically they have more dollar costs than revenues). UBS forecasts EUR/USD at 1.14 by year-end (although on the global strategy team we see significantly upside risks to this forecast).

What's in the price? The following consumer sectors have de-rated more than 10% since 26/2: European and Global household products, Global luxury & European retailing. The following sectors are now more than 1.5std cheap (relative to their normal P/E against the market): European and Global household products and Beverages, Global luxury, and European retailing. The aggregate basket of consumer cyclicals is trading close to its norm (on a 8% discount to the market) despite being oversold. The consumer staples are abnormally cheap (7% discount to the market compared to average premium of 25%) but face huge disruptive issues (i.e., Gen Z, GLP1 and, above all, Agentic Agents de-branding non conspicuous brands).

Where would we focus on the consumer side globally:

The China consumer: UBS have turned more positive on China property ([see here](#)) with property accounting for c60% of household wealth. Also, China consumption should be aided by some modest acceleration in wage growth (from 2% to 4%) and the end of deflation. In the long run, the China's consumer share of GDP has to rise. This backs up a buy on L'Oreal (17% of sale to China), luxury and Chinese domestic brand (Yum Brands, Li Ning and Moutai).

Don't give up on luxury: 26% of luxury spend is from the China cluster. The P/E relative to global markets is 0.8 std deviations cheap against its norm globally (36% premium versus norm of 45% premium) and critically: i) EPS is now back to trend (having been 100% above); ii) EPS estimates are very conservative (consensus has EPS being 2% less than the Eurostoxx - close to historic lows); iii) Earnings momentum (though poor) is much better than performance (hence the de-rating of c10% since 26/2); iv) the US cluster is now almost as big as China and there is a clear positive wealth effect (if 0.2% of the equities gains in the US ytd were spent on luxury items, then global luxury spend would rise by c4%); v) we think high end/hard luxury is amongst the sectors least disrupted by Gen AI; and vi) the sector is 2.7 std oversold. We have a buy on Richemont.

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Ryanair: the low-cost carriers get a huge competitive advantage when the cost of oil rises in what is a structurally much better industry. The stock trades on a 2% discount to its fleet value on 2027 estimates. Easyjet trades on a 76% discount to fleet value.

Household products: have seen the biggest de-rating of any sectors, are 2.5 std cheap globally (and 2.7 std cheap in Europe), and are abnormally oversold. We struggle to understand why they are perceived to be more disrupted than any other sector. The teams have buys on Reckitt Benckiser and Colgate (the latter has positive earnings revisions in the past 3 months).

Spain: If there is a bright spot for European consumer, then it is Spain (it accounts for a quarter of EZ employment growth) with employment up 2.3% yoy fuelled by net migration of 1.3% yoy and house prices rising 13% yoy. Moreover, Spain with c75% of power from nuclear and renewables is one of the most resilient EU countries to higher oil/gas prices. The sizeable consumer proxy would be consumer banks (i.e., Santander), Inditex (buy rated and 17% of sales are from Spain).

Stock screen: If we screen for names that rank well in Europe on valuation (P/E, P/B), earnings revisions, price momentum, crowding and quality, then the best ranked buys are Zalando, Inditex, Carlsberg, Heineken, L'Oreal, and ABL. If we look at names that are at least 1 std cheap on P/E relatives, buy rated with positive earnings revisions, then we would look at Carlsberg, Heineken, and M&S.

Where do we find ourselves cautious:

Underweight autos: P/E is not that cheap (with P/E relative to the market 5% above their norm in EU and 63% Globally) with the sector only having de-rated 4% since 26/2. Global margins are at average levels but there are both huge structural and cyclical pressures. **The structural headwinds being:** China competition; over-investing because of both the need to invest in both ICE and EV; legacy car markets have up to 60% cost disadvantage compared to new entrants in EV [according to BCG](#), with additional uncertainties over the appropriate technologies. **There are also large cyclical pressures:** with the rise in aluminium and memory prices; US light vehicle car sales are down 6% yoy and used car prices are now falling. A rise in EV sales depresses margins (according to UBS). Historically, autos (owing to financing divisions) underperform if credit spreads rise and UBS forecast spreads to rise. Earnings momentum looks poor (ranking 24 out of 27 in Europe and bottom globally). The team have sells on Nissan, Volvo, and Renault.

We prefer the pure battery players (i.e., LGES and CATL) to those autos pivoting into batteries.

Low end US consumer faces substantial headwinds: we find ourselves relatively cautious because: i) real wage growth is likely to turn negative as core PCE rises to 3.2%; ii) employment PMIs imply slower employment growth; iii) excess savings have been largely utilised (apart from the top income decile), iv) earnings momentum of retailing is rolling over with P/E relative to the market (ex-Amazon) for retailing close to its norm (at 4% discount to the market). The positives would be a strong dollar and the wealth effect (10% on equities can add up to 1.5% to consumption but this helps the high-end consumer with the richest 20% of the population accounting for 40% of consumption and owning 83% of equities). Those names most exposed to the US low-end consumer (who is disproportionately hit by higher oil but they don't own much equities) include Jet Blue and Kohls.

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THE CONSUMER: BE SELECTIVE

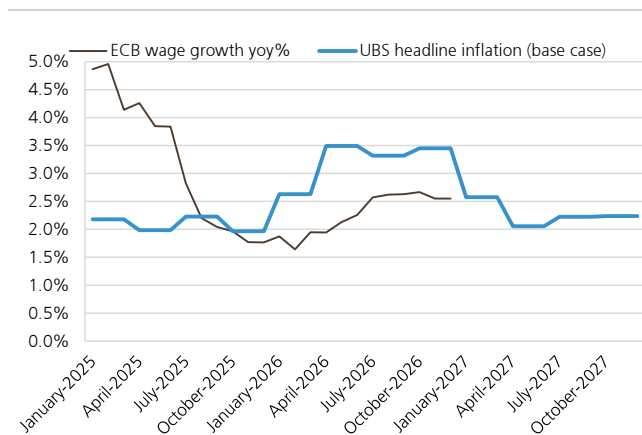
In this note, we highlight the headwinds for the European consumer but highlight where we see pockets of value (i.e. household products, luxury, budget airlines). We also highlight why we want to focus on the China consumer. We want to be cautious of the low-end US consumer. We stay underweight of autos.

The European consumer....mounting headwinds

The European consumer seems to face the following headwinds.

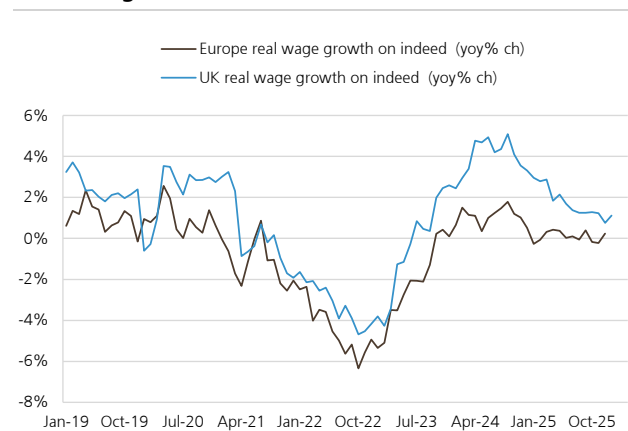
Real wage growth is likely to turn negative: The ECB Eurotracker wage index shows nominal wage growth to be around 2.3% and with headline inflation likely to rise to 3.4% on UBS forecasts, real wage growth could at one point fall by 50 to 100bps. Wages are already growing less strongly than inflation in Europe if we look at the Indeed Survey (for new employees).

Figure 1: ECB wage trackers shows c2.3% wage growth but UBS forecast CPI inflation to rise to 3.4%



Source: UBS, Haver

Figure 2: European real wage growth on the Indeed Survey is now negative



Source: UBS, Haver, Refinitiv Datastream

Employment growth is weak: UBS forecast employment growth of 0.6% in the EZ and 0.8% in the UK. We can see downside risks to this with employment growth in EZ in Q1 up just 0.5% YoY and 0.1% QoQ and UK employment growth actually contracting YoY and QoQ - and for most regions employment is contracting.

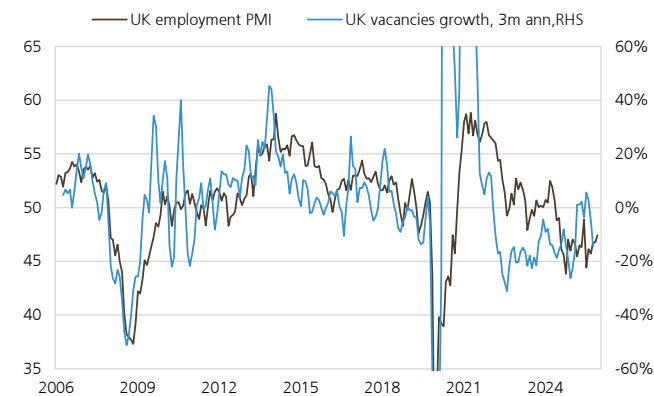
Figure 3: Latest employment growth in Eurozone & select European countries

Region	2026 Q1 Employment growth	
	QoQ %	YoY%
UK	-0.01%	-0.25%
Italy	0.12%	0.03%
Germany	0.05%	-0.28%
Netherland	0.00%	0.34%
Spain	0.32%	2.46%
France	-0.15%	-0.17%
EU 27	0.11%	0.58%
EZ	0.10%	0.50%

Source: UBS, Haver

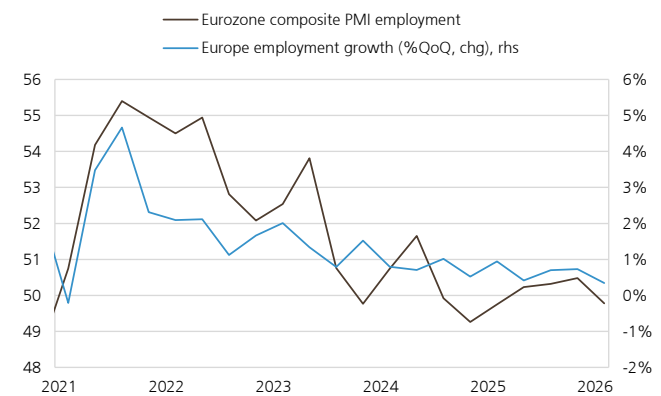
Employment PMIs tend to have fallen quite sharply and seem to be consistent with 0.3% employment growth.

Figure 4: UK Employment PMI vs Vacancy growth



Source: UBS, Refinitiv Datastream

Figure 5: Europe employment PMIs vs employment growth



Source: UBS, Refinitiv Datastream

Commodity prices: there are three particular hits to commodity prices that we worry about being more permanent, even if the Middle East conflict were to end very soon.

Food: Fertiliser prices are up c30% which pushes up food prices by c10% (the IMF actually highlight that half of the increase in fertiliser prices feeds through to food prices). While food has a large weighting in CPI (14% in EU21 and 11% in UK), large proportion of the prices are relatively fixed. Thus, the rise in fertilizers prices could lead to a c50bp CPI (see [here](#)). We hear reports of farmers not being able to afford fertiliser. This will just mean that yields are lower (pushing up food prices).

Oil: each 10% on the oil prices takes 0.2% off consumption, using the ECB ready reckoner. If we just take the forward curve a year out to be the predictor of the oil price, then the 1-year forward oil price is 15% higher than 26-2 levels and thus implying a 0.3% hit to consumption, with UBS forecasting (under a 5 week disruption scenario) oil at the end of 2026 to be \$86pb - 40% higher than pre 26th February forecasts, resulting in a 80bps hit to consumption. In the short term, companies hedge or may temporarily take the hit in profit margin. In the long term, they cut costs (i.e. wages) or raise prices. Neither is good for the consumer.

Gas: UBS forecast a TTF price of €74 by Q4 26 (i.e. up 60% from current levels and 120% above pre 26-2 forecasts). Gas sets the price of electricity in c60% of countries, and gas and electricity is c5% of CPI. Hence, it is quite possible that a much higher gas prices takes up to 40bps off consumption. This comes through with a lag as countries tend to set electricity prices slowly in response to a rise in gas prices.

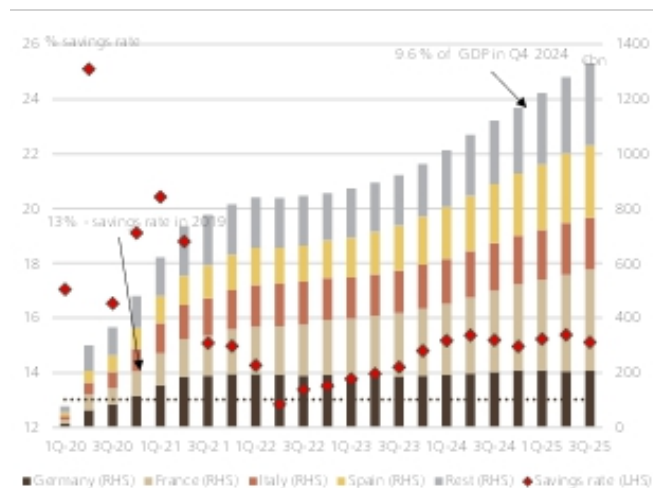
Rates: UBS now see two rate rises this year (prior to the Middle East crisis it was none). 50bps on rates takes about 30bps off consumption (with a 1-year lag on ECB data).

It is quite possible that gas, oil, food, and rates means that consumption growth is c2% lower than the pre-conflict scenario, without any of the offsets discussed below.

What are the offsets?

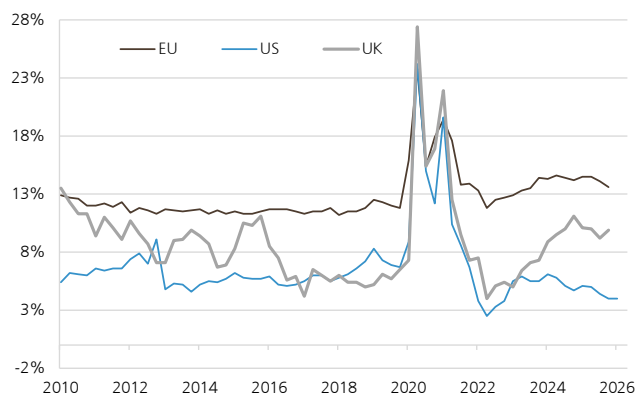
The consumer starts off with one clear advantage compared to the period preceding the invasion of Ukraine. Specifically, the consumer has excess savings of c10% of GDP in both the UK and Europe and the savings ratio in the UK and EZ are still 3.5% and 3% above pre-Covid levels, respectively. This is to be contrasted with the US where the savings ratio is 4% below pre covid levels.

Figure 6: Excess savings are 10% of GDP



Source: UBS Research, Haver

Figure 7: The gap between European and US savings rates has widened sharply



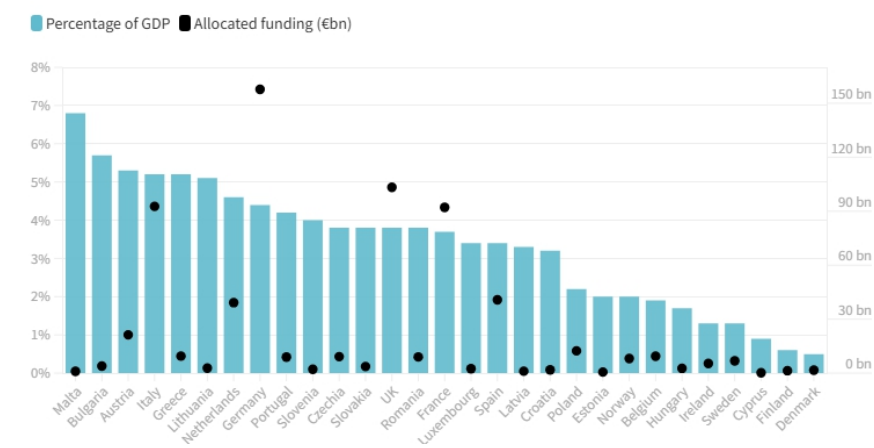
Source: UBS, Refinitiv Datastream

But higher rates don't help saving ratios fall.

The problem here is that the economics team highlight that a lot of these savings have been transferred to more illiquid assets ([see here](#)). We also feel that savings ratios tend to fall when real estate prices rise and interest rates are low. Rates are expected to rise 50bp in EZ and while house prices are up 3.5% YoY in Europe, the rise in mortgage rates will likely impact the housing market negatively (with two thirds of mortgages being long dated and a one third being floating).

The other offset would be government financial support to the household. In the aftermath of the Ukraine crisis, this amounted to 1.8% of GDP in 2022 and 1.3% of GDP in 2023. The problem is now that the fiscal positions are worse, bond yields are rising and so far the government support to households has been just 0.1% of GDP (though it might rise to c0.5% of GDP according to UBS).

Figure 8: Far less fiscal offset this time around compared to Ukraine conflict



Source: Bruegel.org

Thus we can optimistically say that the hit to consumption would be around c2% with the rise in wages, fall in the saving ratio and government fiscal helping offset around half of it. This still leaves consumption at least c1% lower than pre-conflict scenarios, with the risk on the downside.

Figure 9: Impact on net consumption

Variable	UBS forecast (end-2026)	Impact of 10% (10 bps)	Net impact on consumption
Oil	+40%	0.20%	-0.8%
Gas	+120%	0.04%	-0.4%
Rates (bps)	50	0.06%	-0.3%
Fertiliser prices			-0.5%
Wage growth offset			+0.3%
Govt fiscal support			+0.3%
Savings ratio decreases			+0.4%
Net impact			-1.02%

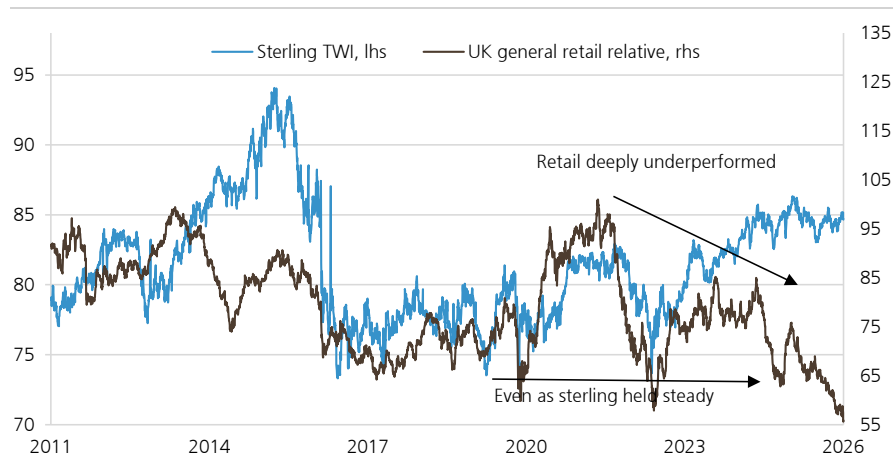
Source: UBS Research

Other headwinds for the European consumer stocks:

1. Currency

The consumer benefits if the Euro or sterling strengthen (their purchasing power increases) while exporters suffer (as exports become more expensive). Specifically, in the case of retailing, dollar costs far outweigh revenues, and hence, this sector requires a stronger currency to outperform.

Figure 10: UK retailing (vs market) vs sterling



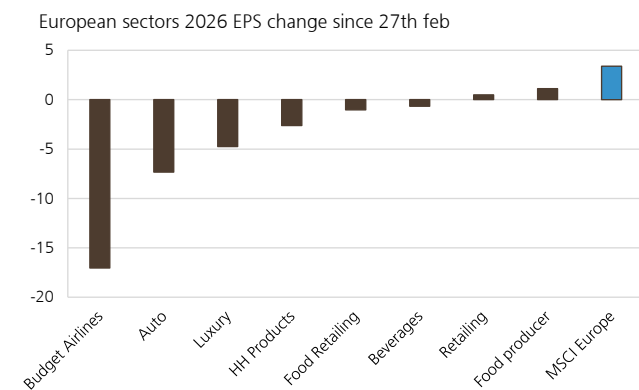
Source: UBS, Refinitiv Datastream

While on the global equity strategy team we are dollar bears structurally, UBS are modest dollar bulls and forecast Euro/\$ at 1.14 year-end.

2. Earnings revisions

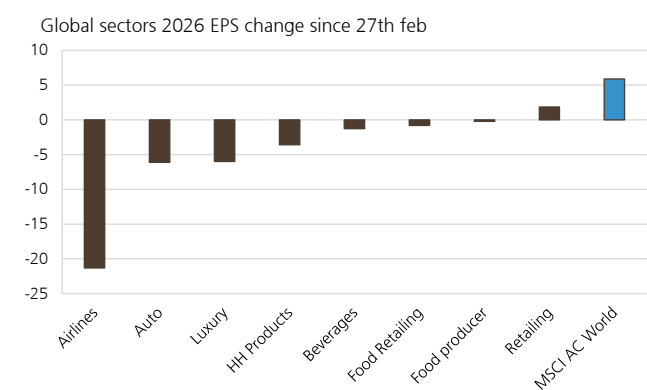
We show the overall earnings scorecard in the [Appendix](#), which shows that autos and household products are at the bottom and retailing is middling.

Figure 11: European consumer sectors EPS change since 27-2



Source: UBS, Refinitiv Datastream

Figure 12: Global consumer sectors EPS change since 27-2



Source: UBS, Refinitiv Datastream

3. Valuation

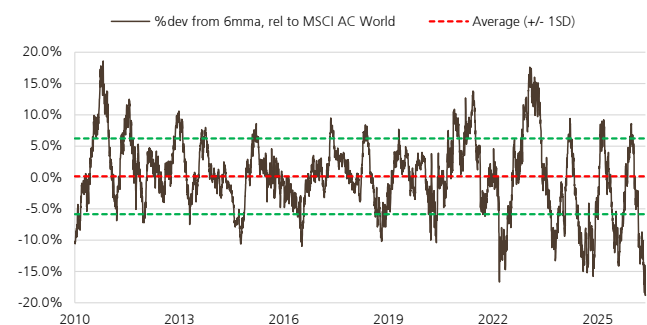
If we take an aggregate of all the European consumer cyclical stocks, then we find that in spite of them being oversold, they are trading close to their norms.

Figure 13: European consumer cyclical basket P/E rel to MSCI ACWI



Source: UBS, Refinitiv Datastream

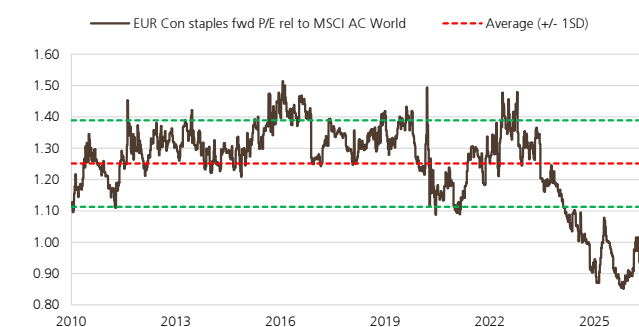
Figure 14: European consumer cyclical basket price momentum (vs 6mma)



Source: UBS, Refinitiv Datastream

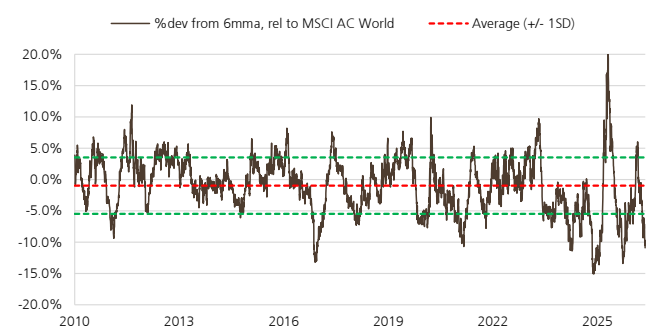
Consumer staples have been de-rated more (i.e., household products) but the structural problems over the past 18 months seem to dominate.

Figure 15: European consumer staples basket P/E rel to MSCI ACWI



Source: UBS, Refinitiv Datastream

Figure 16: European consumer staples basket price momentum (vs 6mma)



Source: UBS, Refinitiv Datastream

The sectors that have undergone the biggest deratings are: household products, retailing, beverages in Europe and household products and luxury globally.

Figure 17: European Subsectors de-rating since 27th Feb

Sector europe	2026 EPS change since 27th feb	Price change since 27th feb	Price change minus EPS change
HH Products	-2.6	-20.3	-17.7
Retailing	0.5	-13.0	-13.5
Beverages	-0.7	-10.2	-9.6
Food producer	1.1	-8.3	-9.4
Food Retailing	-1.0	-9.6	-8.5
Luxury	-4.7	-12.6	-7.9
Auto	-7.3	-11.4	-4.1
Budget Airlines	-17.0	-19.7	-2.6

Source: UBS, Refinitiv Datastream

Figure 18: Global Subsectors de-rating since 27/2

Sector Global	2026 EPS change since 27th feb	Price change since 27th feb	Price change minus EPS change
HH Products	-3.6	-16.1	-12.5
Luxury	-6.0	-15.5	-9.6
Beverages	-1.3	-6.3	-5.0
Food producer	-0.2	-4.5	-4.2
Food Retailing	-0.8	-1.7	-0.9
Retailing	1.8	7.7	5.9
Auto	-6.1	0.2	6.3
Airlines	-21.3	-11.9	9.4

Source: UBS, Refinitiv Datastream

The sectors that have become abnormally cheap are Global & European Household products (2.5 std cheap), Global and European beverages (c2std cheap) and European Food Producers & Retailing.

Sectors PE relative to their norm – Europe and Globally

Figure 19: Sectors PE – Europe (number of std relative to its norm versus the market)

Sectors	12m Fwd PE	12M fwd PE rel market	Average PE rel market	12M fwd PE rel market (Z-score)
European HH Products	16.5	114%	146%	-2.7
European Beverages	14.4	100%	139%	-2.5
European Food Bev Tobacco	15.5	107%	133%	-1.9
European retailing	13.2	91%	145%	-1.6
European Food Retailing	13.3	92%	98%	-0.6
UK retailing	12.5	86%	101%	-0.6
European Autos	7.5	52%	56%	-0.5
European Luxury	24.1	166%	170%	-0.2
Budget airlines	9.9	70%	195%	-0.1

Source: UBS, Refinitiv Datastream

Figure 20: Sectors PE – Global (number of std relative to its norm versus the market)

Sectors	12m Fwd PE	12M fwd PE rel ac world	Average PE rel market	12M fwd PE rel ac world (Z-score)
Global HH products	19.0	107%	138%	-2.5
Global Beverages	18.1	102%	131%	-1.9
Global Luxury	19.8	112%	138%	-1.6
Global Food produces	16.9	96%	117%	-1.4
Global Retailing	23.2	131%	152%	-1.2
Global Airlines	10.2	58%	84%	-0.2
Global Autos	19.6	111%	74%	2.4
Global Food retailing	27.0	152%	120%	3.2

Source: UBS, Refinitiv Datastream

We show our screen with the keys stocks in these subsectors at the [end](#) of our note. Below, we show the stocks that have seen the biggest de-rating since 26/2 within our consumer cyclical basket

Figure 21: The biggest derating for consumer cyclicals in Europe

Name	2026 EPS change since 27-2	Price change since 27-2	Price change minus EPS change	P/E absolute	P/E z-score	3m EPS change
RYANAIR HOLDINGS	-0.4%	-19.7%	-19.3%	10.3	-0.22	-6.6%
HERMES INTL.	-4.3%	-23.1%	-18.8%	35.2	-1.86	-2.0%
MONCLER	2.8%	-14.9%	-17.7%	22.3	-0.94	6.3%
HENNES & MAURITZ B	-0.9%	-16.7%	-15.8%	20.3	-0.38	1.3%
INDUSTRIA DE DISEÑO TEXTIL	0.0%	-12.9%	-12.9%	24.0	-0.33	3.7%
BMW	-5.8%	-16.0%	-10.2%	7.3	-0.27	-1.9%
VOLKSWAGEN	-0.9%	-10.3%	-9.4%	4.1	-1.20	-1.2%
NEXT	0.0%	-7.9%	-7.9%	16.4	0.93	3.9%

Source: UBS, Refinitiv Datastream

And in the consumer staples space, the biggest de-ratings are shown below.

Figure 22: The biggest de-ratings for consumer staples in Europe

Name	2026 EPS change since 27-2	Price change since 27-2	Price change minus EPS change	P/E absolute	P/E z-score	3m EPS change
BEIERSDORF	-6.1%	-34.3%	-28.2%	16.9	-3.10	-5.1%
UNILEVER (UK)	0.8%	-22.8%	-23.5%	15.0	-1.79	-1.3%
HENKEL	-0.4%	-21.4%	-21.0%	11.6	-2.00	-2.3%
RECKITT BENCKISER GROUP	-10.0%	-30.2%	-20.1%	13.9	-1.59	-9.1%
MARKS & SPENCER GROUP	-1.4%	-19.2%	-17.8%	10.3	-1.02	3.8%
HEINEKEN	0.2%	-17.5%	-17.6%	12.7	-2.12	3.9%
CARLSBERG B	0.3%	-15.5%	-15.8%	12.2	-1.92	6.2%
DANONE	0.0%	-14.8%	-14.8%	16.9	-0.69	-1.4%
L'OREAL	-0.1%	-9.7%	-9.6%	13.4	0.22	-2.3%

Source: UBS, Refinitiv Datastream

Of the names which have been de-rated more than 10% since 26/2, the following have positive earnings and trade cheaply on P/E relatives: Moncler, Inditex, Ryanair, M&S, Heineken, and Carlsberg, Of these, the following are buy rated: Inditex, Ryanair, Carlsberg, Heineken, and M&S (with Carlsberg, Heineken, and M&S having their relative P/E being more than 1 std below norm).

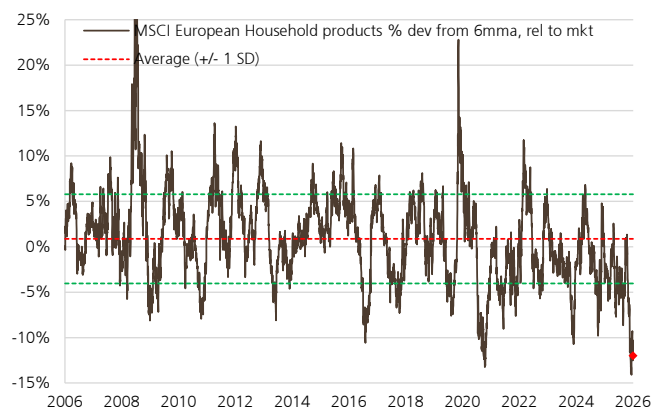
Where are the pockets of value:

1. Household products:

We struggle to see why household products have become so cheap and so aggressively de-rated (but admit their earnings momentum has been bottom of the scorecard in Europe). We have not identified a specific issue plaguing this sector as identified for other staples, such as Gen Z (for beverages), GLP 1 (hitting food producers) or FDA (hitting flavouring companies) and it is hard to build from scratch (unlike food producers).

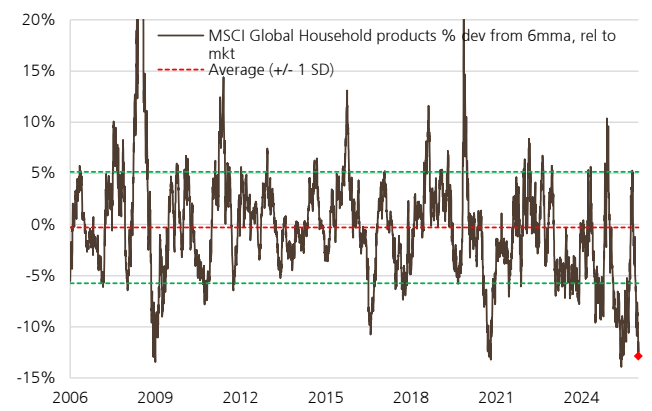
Household products are also abnormally oversold in EU and Globally.

Figure 23: European HH products % dev from 6mma



Source: UBS, Refinitiv Datastream

Figure 24: Global HH products % dev from 6mma



Source: UBS, Refinitiv Datastream

The concerns centre on three areas: i) EM exposure (but EM equities have outperformed since 26-2); ii) higher costs (plastic, transport etc) but again the stock market believes this crisis is short lived; and iii) exposure to the consumer (but as above these names have de-rated more than any others).

To us, maybe of growing concern is disruption: local brands in EM taking much more market share (but this is generic to all staples) and Agentive Agents de-branding non conspicuous brands (and in many cases the branded products have prices that are 40% to 100% above private label).

UBS have buys on Colgate and Reckitt Benckiser.

We can see below they are both cheap, heavily de-rated and in the case of Colgate has positive earnings revisions.

Figure 25: US & European select HH products

Name	2026 EPS change since 27-2	Price change since 27-2	Price change minus EPS change	P/E absolute	P/E z-score	3m EPS change	UBS rating
ESTEE LAUDER COS.'A'	9.0%	-26.2%	-35.1%	26.3	-1.6	17.8%	Neutral
RECKITT BENCKISER GROUP	0.0%	-30.2%	-30.2%	13.9	-1.59	-9.1%	Buy
BEIERSDORF	-6.1%	-34.3%	-28.2%	16.9	-3.10	-5.1%	Neutral
UNILEVER (UK)	0.8%	-22.8%	-23.5%	15.0	-1.79	-1.3%	Sell
HENKEL	-0.4%	-21.4%	-21.0%	11.6	-2.00	-2.3%	Neutral
KENVUE	7.7%	-10.1%	-17.8%	15.0	-1.2		Neutral
PROCTER & GAMBLE	0.0%	-14.6%	-14.6%	20.3	-1.5	-1.8%	Buy
KIMBERLY-CLARK	-0.4%	-13.3%	-12.9%	13.1	-2.1	-2.0%	Neutral
L'OREAL	0.0%	-9.7%	-9.7%	26.9	-1.21	2.2%	Buy
COLGATE-PALM.	-1.7%	-10.4%	-8.7%	21.4	-1.5	0.9%	Buy

2. Budget Airlines.. a preferred sub sector.

Budget airlines have underperformed by 25% since 26-2.

We view this sub-sector as having structural advantages. Recreational travels grows at double GDP at 2.6% CAGR since 2000.

Barriers to entry are high due to airport slot constraints and aircraft shortages, with for example Ryanair controlling 70% of slots at Stansted. It is becoming increasingly hard to extend yet alone build new runways.

Ryanair accounts for almost c20% of the total short haul travel market and c40% of the budget travel market in Europe. This, in turn, makes the market potentially much more rationale.

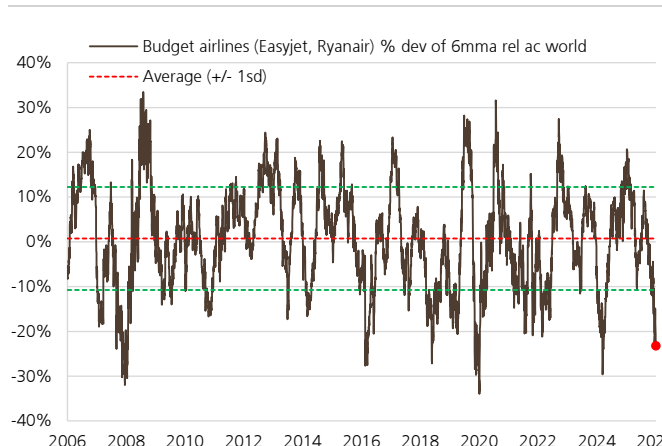
The budget airlines have a huge cost advantage over the flag carriers, which at times of higher oil prices increases their cost advantages, acting as a barrier to entry to new competitors and forces the less efficient players to cut capacity much more quickly.

Budget airlines also own the customer relationship which means they can expand into higher margin businesses (e.g. holidays or car rentals).

They are very clearly Gen AI adopters (whether it is ticketing, customer loyalty, flight planning, or dynamic pricing etc).

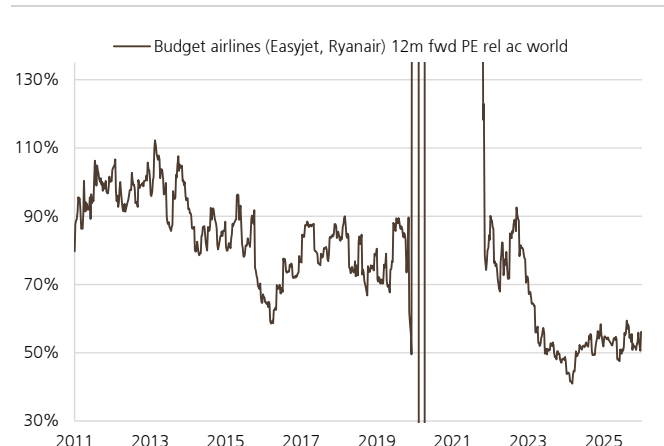
Ryanair has become particularly cheap on P/E relatives. The key in our mind is the value of the airlines versus the cost of a planes, which for Ryanair on 2027 numbers is on a 2% discount and Easyjet on a 76% discount.

Figure 26: Budget airlines price momentum rel to ac world



Source: UBS, Refinitiv Datastream

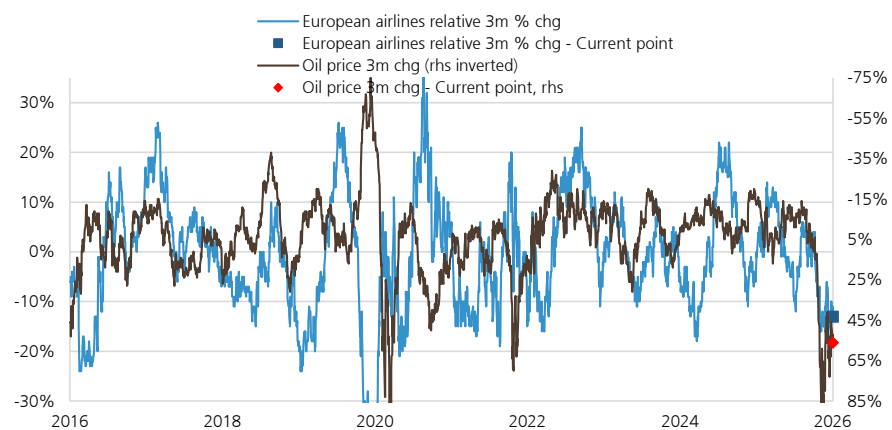
Figure 27: Ryanair P/E relative to the market



Source: UBS, Refinitiv Datastream

Historically 10% off the oil price had added 5% to relative performance. We are inclined to be long term oil bears (see [here](#)).

Figure 28: European airlines relative to Oil price

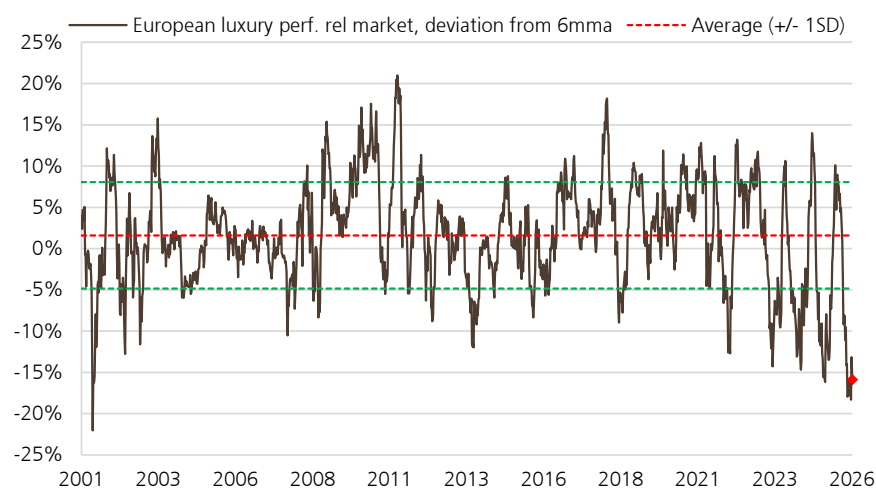


Source: UBS, Refinitiv Datastream

3. Luxury

1. Luxury is clearly oversold.

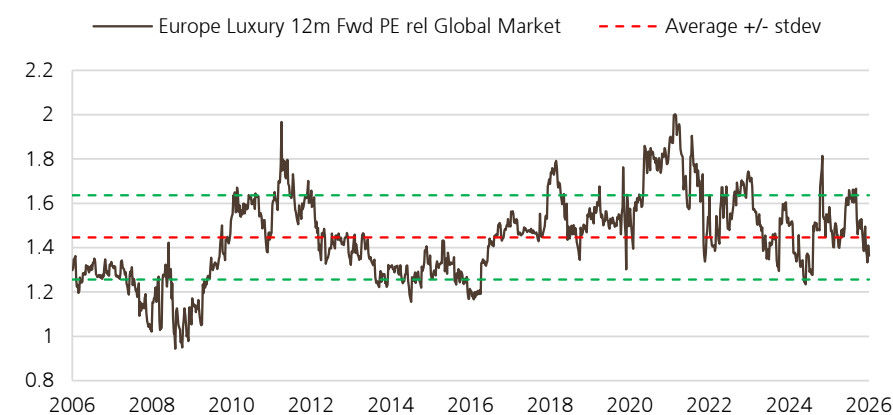
Figure 29: European luxury price momentum rel mkt vs 6mma



Source: UBS, Refinitiv Datastream

2. The P/E is back to average levels.

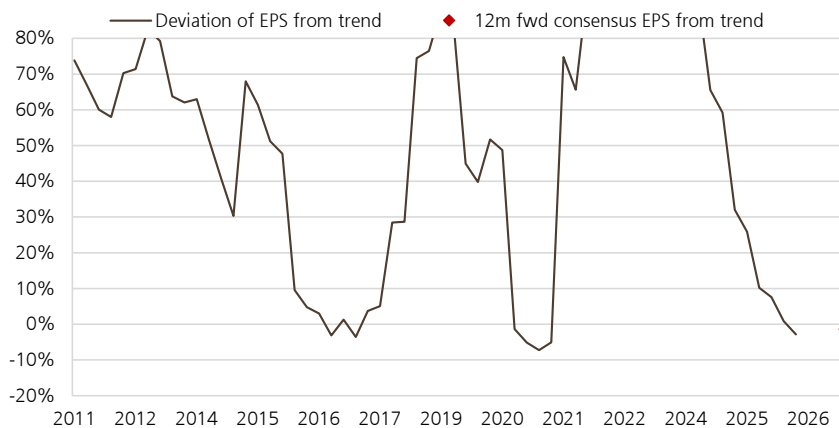
Figure 30: Europe Luxury's P/E relative to the global market is close to its norm



Source: UBS, Refinitiv Datastream

3. But EPS is now way below trend.

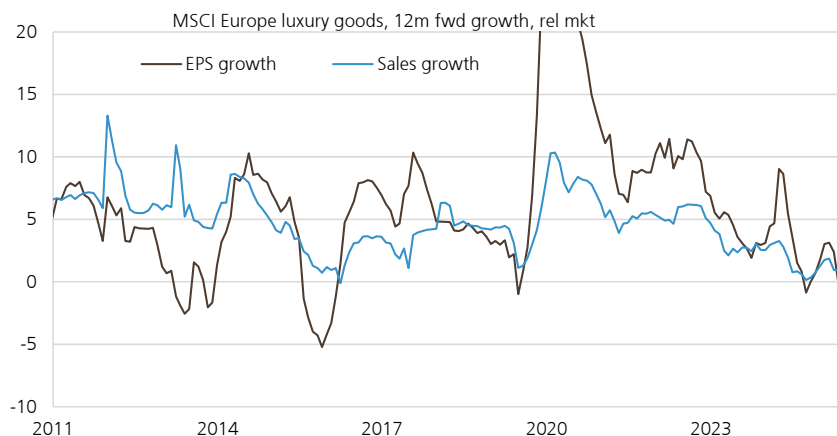
Figure 31: Large European luxury companies' EPS is now at trend (c10% trend growth)



Source: UBS, Refinitiv Datastream

4. Earnings and sales forecasts relative to the market, are right at the low end of their range.

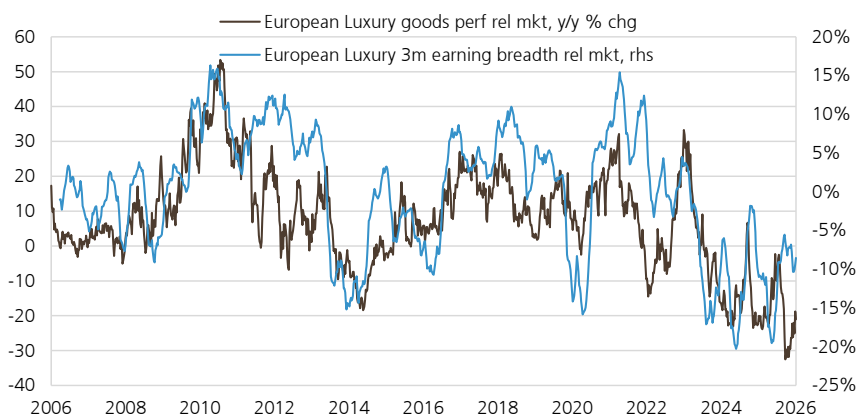
Figure 32: The EPS and sales premium of luxury to the market



Source: UBS, Refinitiv Datastream

5. Earnings momentum is much better than performance.

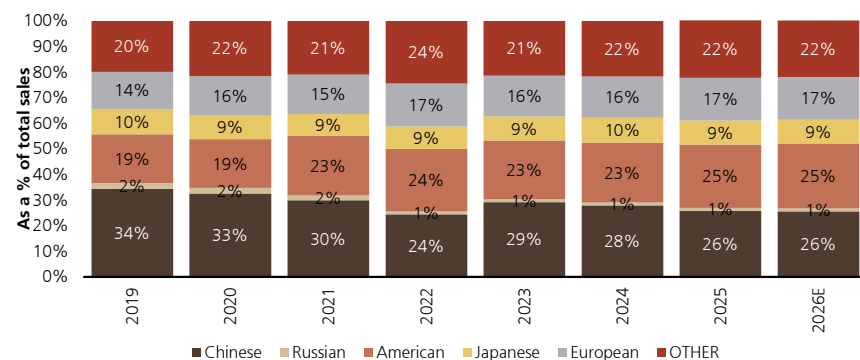
Figure 33: Earnings momentum vs performance of luxury



Source: UBS, Refinitiv Datastream

6. The US cluster is now almost as large as the China cluster.

Figure 34: Luxury exposure

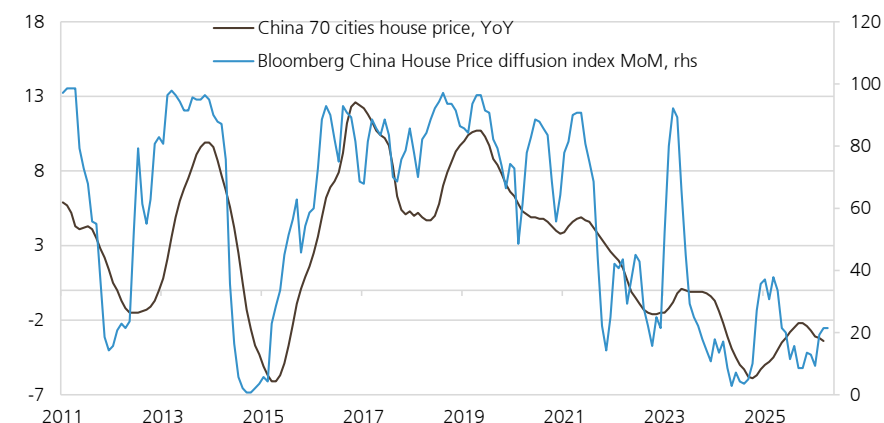


Source: UBS

The US cluster benefits from the wealth effect (namely, if 0.5% of the rise in equities feeds through to higher luxury spend, then luxury spend rises by 7%)!

The China cluster may be getting less bad if we look at the best lead indicator of China house prices (see John Lam's, our head of asia property, [upgrade](#) of property) with housing accounting for c60% of household wealth. The China cluster accounts for c26% of luxury sales.

Figure 35: The Bloomberg diffusion indicator



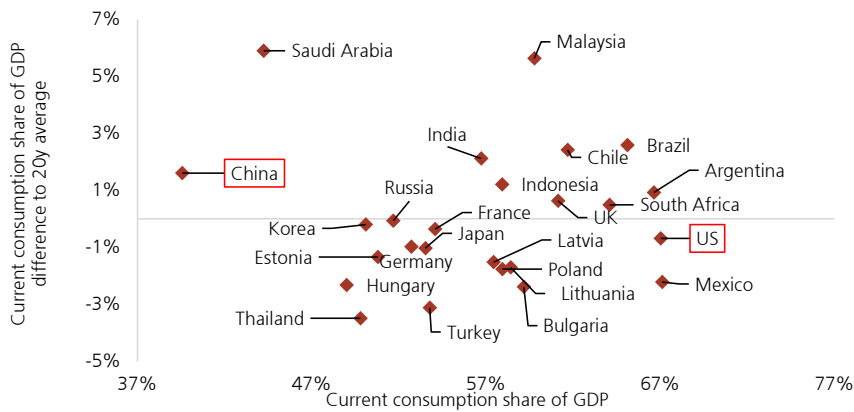
Source: UBS, Refinitiv Datastream, BBG

UBS has a buy on Richemont.

China consumer

We like the China consumer for reasons highlighted [here](#). The consumer share of GDP must rise (it is lower than any other country has had historically) as it is increasingly harder for China to have investment driven growth, relying on exporting its excess capacity.

Figure 36: Consumer share of GDP in China (vs 20y average)



Source: UBS, Refinitiv Datastream

There are two structural advantages now for China consumer:

1. John Lam's upgrade of property (so that Tier 1 cities prices are now expected to be flat rather than decline 10% in 2026 (see [here](#)). Property is 60% of household wealth.
2. The increasing signs that deflation is ending and with it wage growth might be slightly accelerating.

Figure 37: A-Share Wage Growth has been low but has improved



Source: UBS, Refinitive Datastream, Wind

China is also one of the least impacted countries by the rise in commodities prices with only c3% of electricity coming from CCGT and oil and gas accounting for c30% of energy use.

Our focus has been on luxury, as above, and Chinese domestic brands such as Li Ning, Moutai and Yum China.

Spain – a port on a storm in Europe for the consumer.

What supports the Spanish consumer:

1. Employment growth of 2.3% yoy.
2. Net migration of 1.3% yoy.
3. Household formation in the past decade being 700K units higher than new homes built. This keeps house prices rising at c13% yoy and in turn helps create a wealth effect.
4. A primary budget surplus. This means there is less risk of windfall taxes.

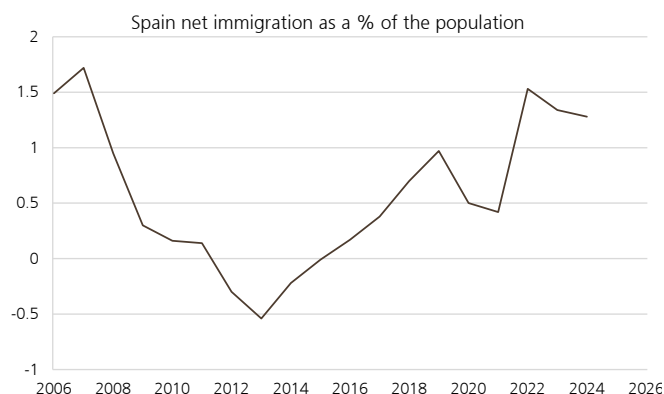
- Spain is more resilient to the energy shocks: renewables and nuclear are now c75% to 80% of Spain's electricity. As a result, wholesale power prices have averaged 20–30% below core eurozone peers (e.g., Germany, Italy) since 2023, keeping energy inflation consistently lower and dampening the pass-through of external energy shocks to the broader economy.

Figure 38: Spain employment growth



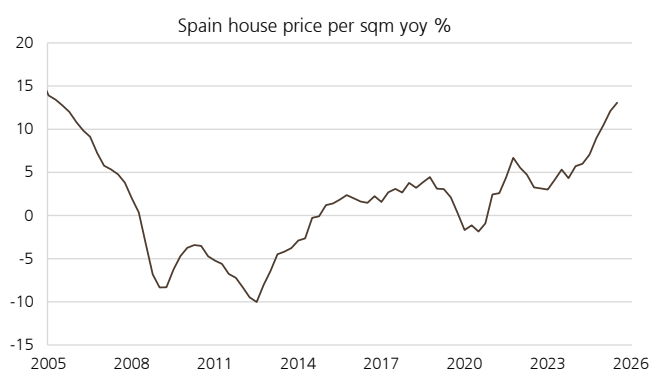
Source: UBS, Refinitive Datastream, BBG, Haver

Figure 39: Spain migration as a % of the population



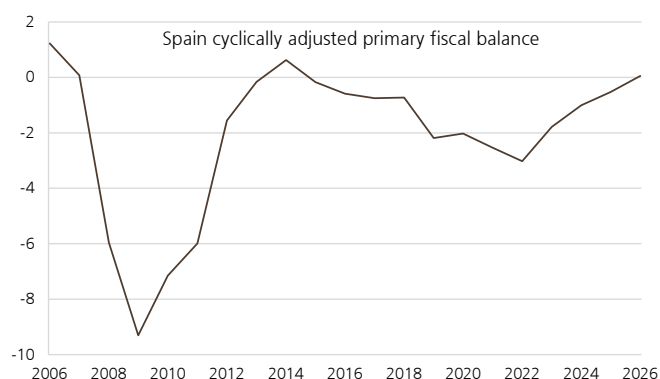
Source: UBS, Refinitiv Datastream

Figure 40: Spain house price yoy growth



Source: UBS, Refinitiv Datastream

Figure 41: Spain cyclically adjusted primary deficit



Source: UBS, Refinitiv Datastream

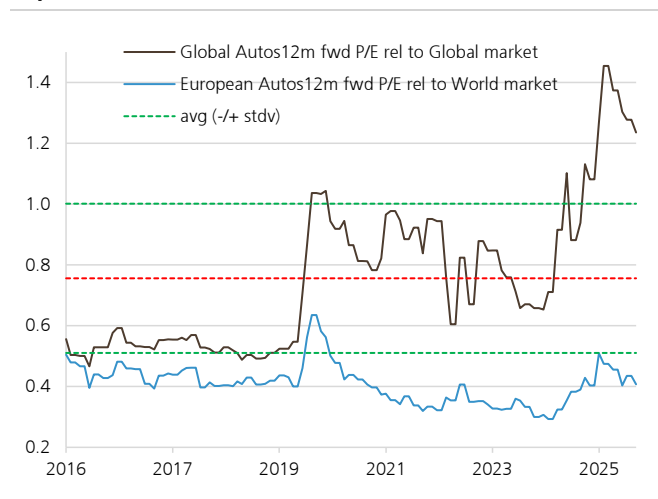
Inditex has 17% of its sales from Spain. Clearly, the above backdrop is good for banks and hence UBS has a buy on Santander.

Underweight global Autos

We are underweight global autos for the following reasons:

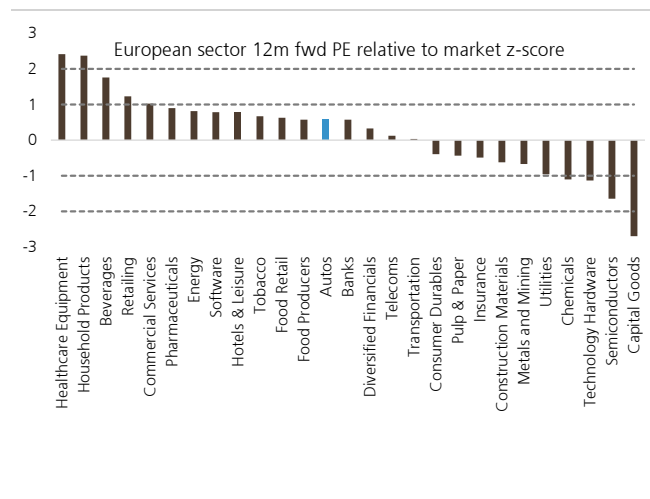
- Not cheap:

Figure 42: European autos not cheap and globally expensive



Source: UBS, Refinitiv Datastream

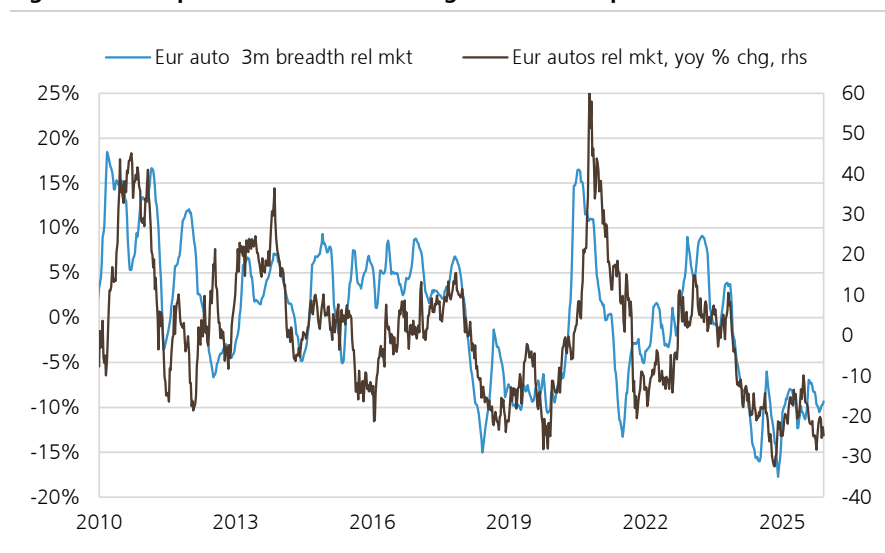
Figure 43: European PE z-score relative to market



Source: UBS, Refinitiv Datastream

2. They are bottom of the global earnings revisions scorecard (see [here](#)) and close to the bottom in Europe.

Figure 44: Europe autos relative earnings revisions vs performance



Source: UBS, Refinitiv Datastream

3. Cyclical headwinds are very high owing to:

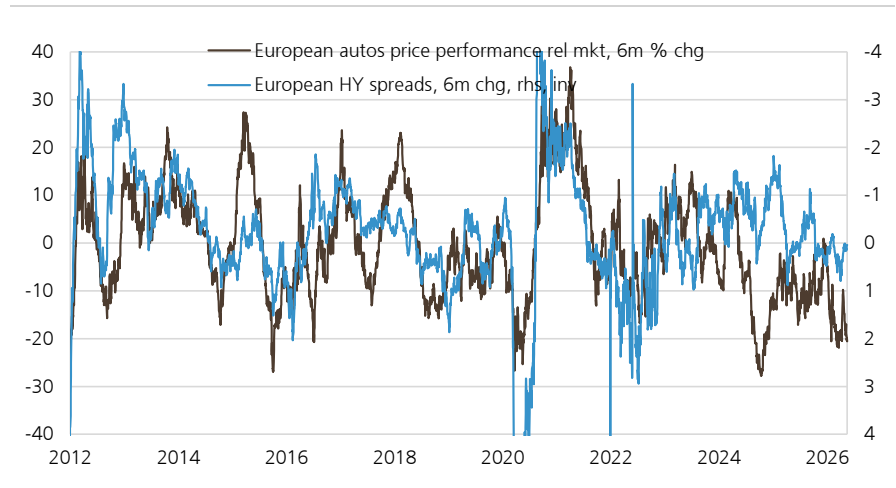
i) Higher costs

The team highlight that higher aluminium and steel costs (as a result of the crises) could add \$400 to the cost of the car (taking as much as 20% off profits). Memory shortages will only add to this.

ii) Higher credit spreads.

UBS forecast a rise in spreads and that is usually bad for cars companies who own financing subsidiaries.

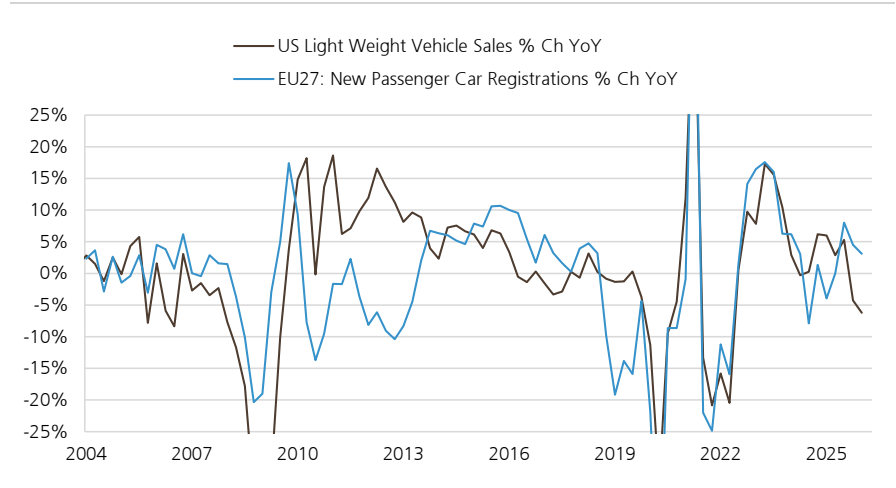
Figure 45: 'Banks on wheels': OEMs tend to underperform if credit spreads widen



Source: UBS, Refinitiv Datastream, BBG

iii) Volume growth is tepid and decelerating. The team highlight that a rise in EV sales harms margins (even if the risk of CO2 fines is less).

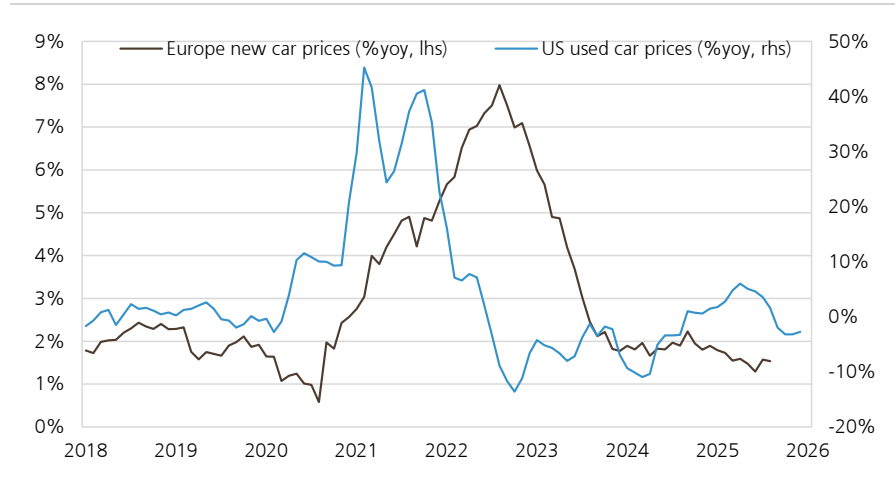
Figure 46: US and Europe Vehicle Sales YoY%



Source: UBS, Refinitiv Datastream, Haver

iv) Used car prices are rolling over and are falling -2.7% yoy in the US.

Figure 47: Europe new car prices are rolling over and US used car prices inflation might have peaked

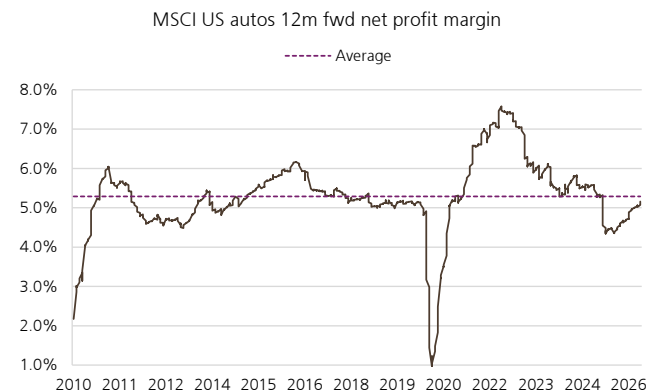


Source: UBS, Refinitiv Datastream

4. Substantial structural headwinds.

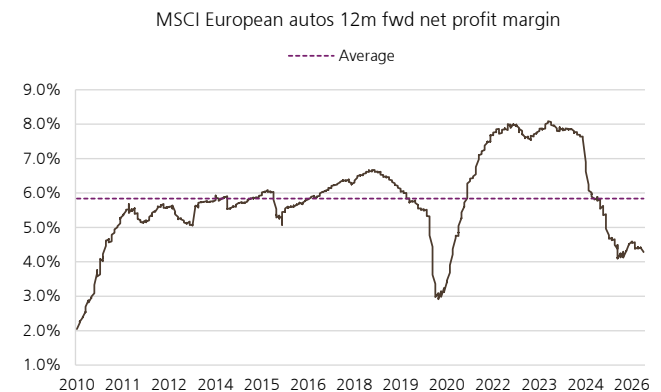
There are substantial structural headwinds at a time when margins globally are in line with their norm.

Figure 48: US Autos 12m fwd Net profit margin



Source: UBS, Refinitiv Datastream

Figure 49: European Autos 12m fwd Net profit margin



Source: UBS, Refinitiv Datastream

These structural headwinds are:

- **Margin risk from increased Chinese competition** both in Europe (15% of cars sold in March, double the share last March) and in China (where profits are a third of VW and BMW profits). VW highlighted that it costs half the amount to build a car in China compared to Europe and Renault highlighted that the development time in China is much quicker than Europe (at under 18 months).
- **A sector that is over-investing** (maintenance capex to depreciation is c1.2X) because they have to invest for both EV and ICE.
- **Legacy costs:** [BCG found](#) that legacy car makers have costs that are 60% to 75% higher than those of new entrants owing to their complex supplier network and capital tied to ICE.
- **New technology always carries high transition risks**, especially if autos become more software intensive from being more mechanical engineering intensive (as e.g. VW found). What is the right battery technology?

The sell rated names globally are Bajaj auto, Hero motocorp, Nissan, Renault, Tata motors, Volvo, Guangzhou Automobile and in the US, UBS is neutral on Tesla.

Figure 50: Global autos neutral and sell rated names with M-cap >\$5bn

			P/E (12m fwd) --		P/B -----		HOLT							
Name	Country	Price	Abs	Z-score (rel. market)	Abs	Z-score (rel. market)	Price to book	Warranted Upside downside (%)	3m Earnings revisions	UBS Crowding	Consensus recomm. (1=Buy; 5=Sell)	UBS rating	M-cap (Bn.\$)	
Bajaj Auto	India	10711.5	27.2	1.6	8.5	0.9	5.7	-16.4	13.8%	-2.3	2.4	Sell	32	
Bmw	Germany	82.0	7.5	-0.1	0.5	-1.4	0.5	41.6	-15.9%	-8.9	2.6	Neutral	54	
Dr Ing Hc F Porsche Pref.	Germany	42.7	21.5	1.3	1.7	-1.1	1.1	-9.1	-40.7%	-16.6	3.1	Neutral	23	
Eicher Motors	India	7302.5	31.6	0.4	9.4	-0.3	7.7	36.1	20.9%	-1.3	2.4	Neutral	21	
Geely Automobile Holdings	Hong Kong	22.7	9.4	-1.0	2.4	-0.5	1.6	55.0	-5.7%	7.9	1.6	Neutral	31	
Hero Motocorp	India	5322.0	18.2	0.0	5.5	-0.5	3.9	41.3	17.1%	-1.5	2.4	Sell	11	
Honda Motor	Japan	1269.0	13.7	2.9	0.5	-1.6	0.2	143.0	-19.8%	-8.4	2.7	Neutral	37	
Hyundai Motor	South Korea	613000.0	12.5	2.4	1.4	2.2	1.0	-19.1	-23.8%	2.9	1.8	Neutral	85	
Isuzu Motors	Japan	2154.0	8.1	-1.2	1.1	-0.9	0.7	17.0	-4.7%	-5.7	2.3	Neutral	10	
Maruti Suzuki India	India	13726.0	25.8	-0.6	4.5	-1.2	3.3	8.4	-14.7%	-1.5	1.8	Neutral	46	
Mercedes-Benz Group N	Germany	49.9	7.7	0.0	0.5	-1.6	0.4	104.6	-31.7%	-12.3	2.7	Neutral	57	
Nissan Motor	Japan	345.7	32.3	0.6	0.2	-1.3	0.2	427.9	-24.9%	-3.0	3.2	Sell	8	
Porsche Aml.Hldg.Pref.	Germany	31.8	2.8	-1.3	0.3	-1.7	#N/A	#N/A	1.9%	0.2	2.8	Neutral	6	
Renault	France	28.6	4.7	0.1	0.3	-1.2	0.4	149.4	-25.7%	-8.7	2.4	Sell	10	
Rivian Automotive A	United States	14.2	-6.2	-0.1	3.9	0.9	1.4	17.5	-17.4%	-15.3	2.6	Neutral	18	
Subaru	Japan	2358.0	7.7	-1.0	0.6	-1.1	0.6	24.8	-23.6%	3.2	3.0	Neutral	11	
Tata Motors Passenger	India	355.5	9.4	-0.1	1.9	-1.0	0.8	74.4	-20.6%	-2.0	3.2	Sell	14	
Tesla	United States	428.4	191.1	0.1	19.6	-0.2	12.3	-71.0	-29.2%	-7.7	2.6	Neutral	1609	
Volkswagen Pref.	Germany	88.2	4.1	-1.1	0.3	-1.6	0.4	110.9	-8.2%	-11.1	2.4	Neutral	21	
Zhejiang Leapmotor	China	47.8	14.2	0.3	4.3	-0.4	2.2	201.7	-14.4%	-10.0	1.7	Neutral	7	
Volvo Car B	Sweden	22.1	6.4	-0.5	0.5	-1.0	0.4	49.8	-56.5%	-4.8	3.5	Sell	7	
Chongqing Changan Automb.	China	9.3	16.7	0.2	1.2	-1.5	1.0	-27.6	-15.2%	-7.6	2.2	Neutral	11	
Guangzhou Automobile Gp.	China	7.0	-62.0	-4.8	0.7	-1.1	0.7	49.2	-26.5%	-3.0	2.9	Sell	8	
Anhui Jianghuai Automobile	China	50.1	61.0	0.1	11.3	2.2	3.0	11.2	-4.1%	7.5	2.6	Neutral	17	
Seres Group 'A'	China	90.3	14.7	0.2	11.1	0.3	2.1	26.7	-17.9%	-2.6	1.8	Neutral	22	

Source: UBS, Refinitiv Datastream, Holt, Quant answers

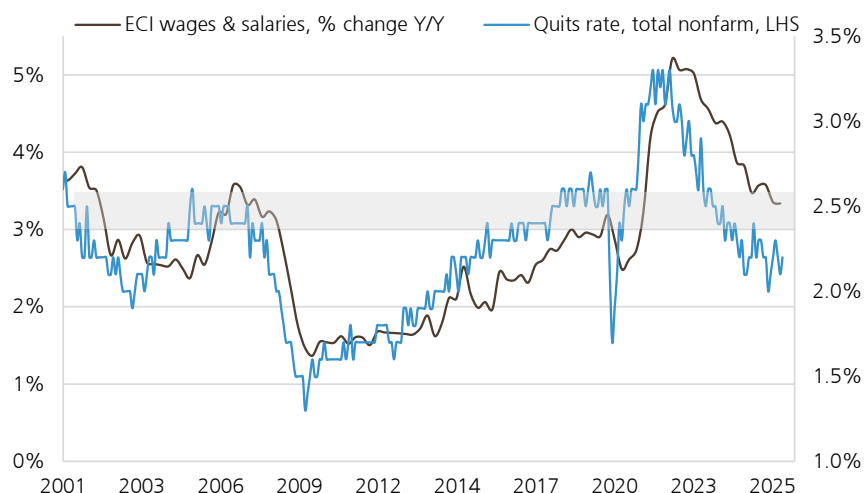
Low-end US consumer looks set to disappoint

UBS forecast 1.9% consumption growth in 2026 (cf to 2.1% in 2025). This fall in growth can be attributed to multiple factors:

1. Real wage growth may turn negative.

The best lead indicator of wage growth implies muted pricing power for labour with wage growth at 2.5% to 3%. UBS forecast core PCE to rise to 3.2% in May and this may lead to negative real wage growth.

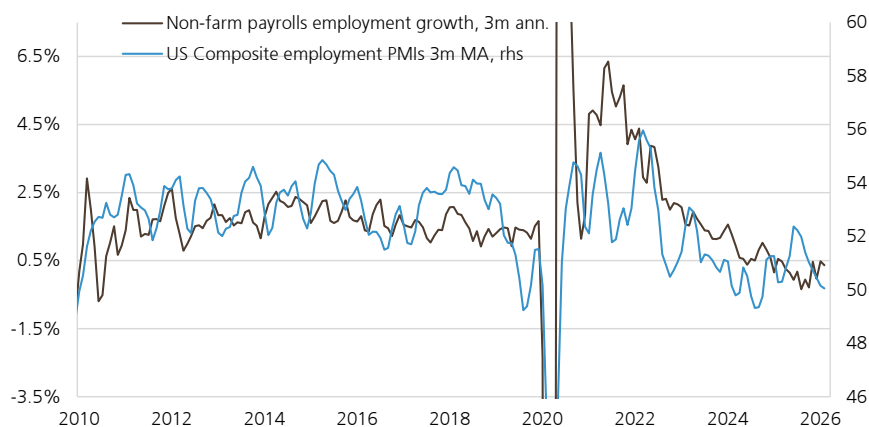
Figure 51: The quit rate for workers is consistent with wage growth of c2.5-3%



Source: UBS, Refinitiv Datastream

2. Employment growth is likely to slow. ISM employment has collapsed and employment PMIs are consistent with nearly zero employment growth.

Figure 52: Employment PMIs v employment growth

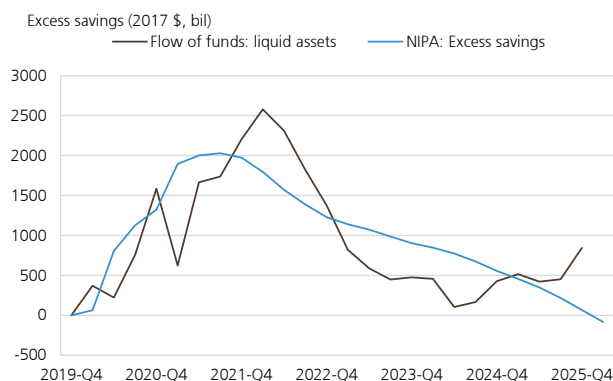


Source: UBS, Refinitiv Datastream

3. Savings ratio is already low.

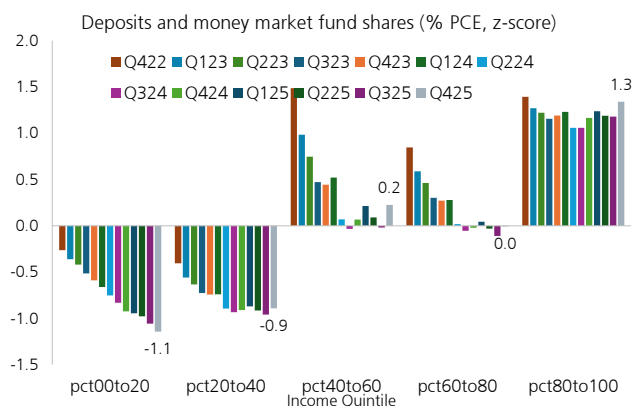
Excess savings have largely been utilised with the saving ratio well below pre-Ukraine levels. The only exception is the upper income quintile (hence we can be more positive on the luxury end of the market).

Figure 53: Excess savings are largely used



Source: UBS, Refinitiv Datastream, Haver

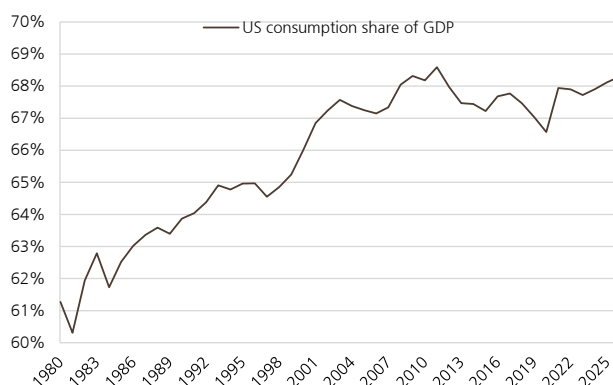
Figure 54: Deposits and money market fund shares



Source: UBS, Refinitiv Datastream, Haver

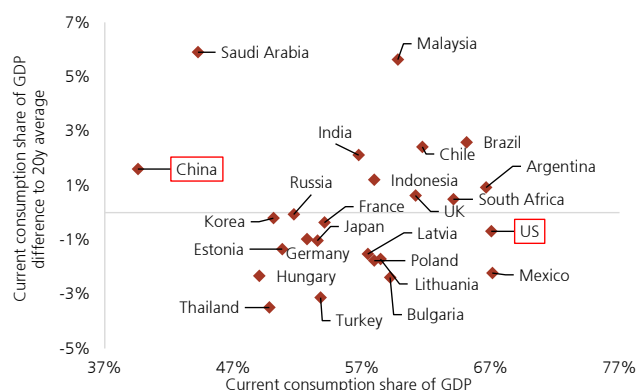
4. We feel in the long run the consumer share of GDP in the US has to fall (the opposite situation from China).

Figure 55: US Consumer share of GDP



Source: UBS, Refinitiv Datastream

Figure 56: Consumer share of GDP



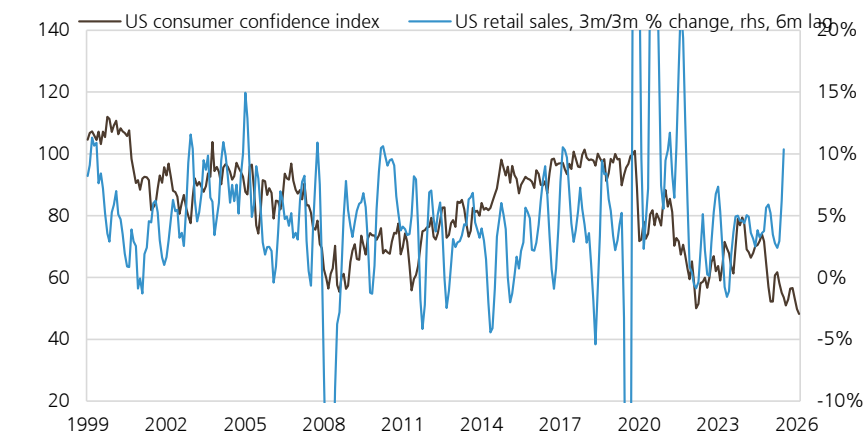
Source: UBS, Refinitiv Datastream

We know that Current account deficit equals budget deficit + consumer savings + corporate savings.

Thus, if the current account deficit is **smaller** (owing to say tariffs), then the consumer savings ratio has to be **higher** (if President Trump's policies do not lead to a fall in the budget deficit and investment incentives/onshoring encourage investment growth).

5. There is a record disconnect between consumer confidence and retail sales.

Figure 57: US retail sales (nominal) 3 month annualised vs consumer confidence

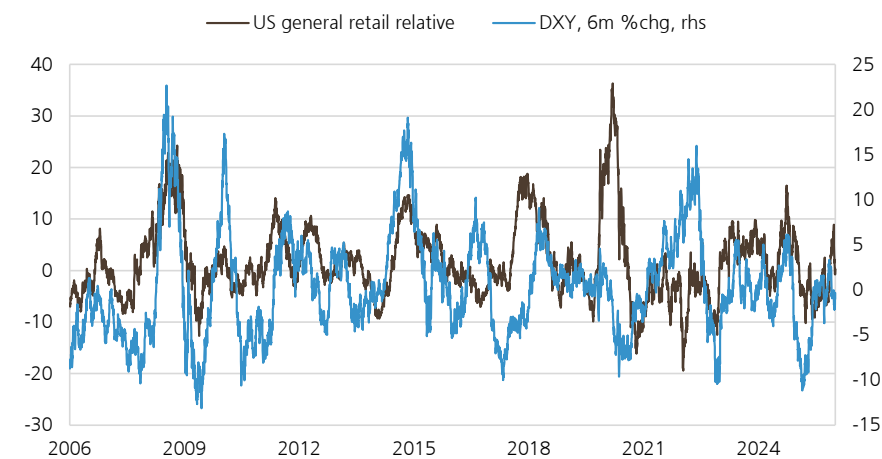


Source: UBS, Refinitiv Datastream

6. It is hard to be that dollar bullish structurally in our opinion which caps retailing.

Retailing outperforms if the dollar strengthens.

Figure 58: US retail versus the dollar



Source: UBS, Refinitiv Datastream

7. The US retail sector Ex amazon it is not cheap.

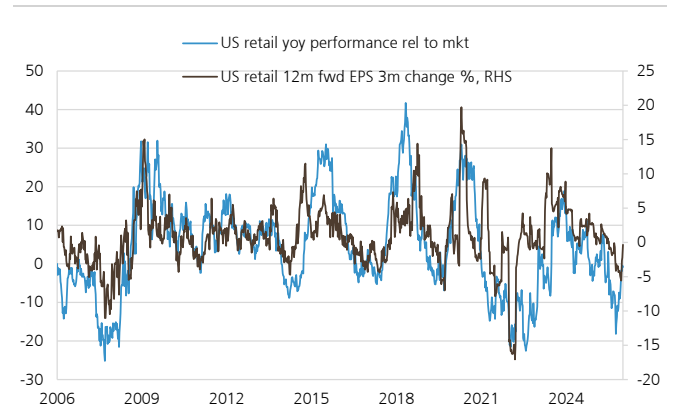
8. Earnings momentum has been rolling over.

Figure 59: US retail (ex Amazon) 12m fwd PE relative to the market



Source: UBS, Refinitiv Datastream

Figure 60: US retail (ex Amazon) performance versus earnings momentum

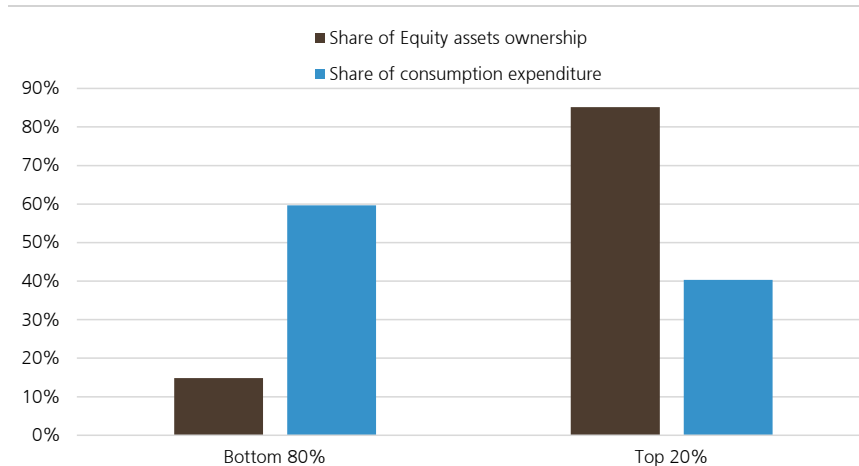


Source: UBS, Refinitiv Datastream

There is of course a strong wealth effect (namely c3-5% of the stock market gains are spent which adds 1% to 1.5% to consumption).

The low-end consumer is highly exposed to energy and electricity costs and has low exposure to the stock market.

Figure 61: Share of equity wealth in US vs share of consumption by income



Source: UBS, Refinitiv Datastream, BBG, Haver

We highlight names below that are vulnerable to the low end consumer in the US.

Screens

US consumers screen for low end consumer:

Figure 62: US Consumer Discretionary sell-rated names

Name	Sector	Price	P/E (12m fwd)		P/B		HOLT		3m Earnings revisions	UBS Crowding	Consensus recomm. (1=Buy; 5=Sell)	UBS rating	M-cap (Bn,\$)
			Abs	Z-score (rel. market)	Abs	Z-score (rel. market)	Price to book	Warranted Upside downside (%)					
Dillards 'A'	Consumer Discretionary	563.3	16.6	0.2	4.9	1.3	2.3	-13.4	15.9%	-16.5	3.5	Sell	6.6
Cheesecake Factory	Consumer Discretionary	61.7	14.6	-0.1	7.0	0.0	1.7	-16.3	15.9%	-4.3	2.6	Sell	3.1
Columbia Sportswear	Consumer Discretionary	63.0	16.1	-1.2	2.0	-1.8	1.3	-25.2	38.2%	9.9	2.6	Sell	3.2
Kohl's	Consumer Discretionary	14.5	10.4	-0.1	0.4	-1.4	0.6	67.5	-12.1%	-5.6	3.1	Sell	1.6
Macy's	Consumer Discretionary	19.5	9.2	0.0	1.1	-0.9	0.8	27.3	-24.2%	3.5	2.8	Sell	5.1
Quantumscape A (Nys)	Consumer Discretionary	7.5	-10.9	0.3	3.9	-0.5	2.0	5.0	15.3%	-17.5	3.2	Sell	4.4

Source: UBS, Refinitiv Datastream, Holt, Quant answers

Figure 63: Consumer stocks most exposed to the low end consumer

Name	Sector	P/E (12m fwd)			P/B		HOLT			UBS Crowding	Consensus recomm. (1=Buy, 5=Sell)	UBS rating	M-cap (Bn, \$)
		Price	Abs	Z-score (rel. market)	Abs	Z-score (rel. market)	Price to book	Warranted Upside downside (%)	3m Earnings revisions				
Frontier Group Holdings	Industrials	5.3	-8.7	-0.1	2.5	-1.2	0.8	-270.2	-15.7%	-5.1	3.3	Neutral	1.2
Allegiant Travel	Industrials	83.0	13.5	-0.2	1.5	-1.1	1.0	-36.2	12.0%	-9.0	2.5	Neutral	1.5
Jetblue Airways	Industrials	5.1	-2.9	-0.1	0.9	-1.3	0.7	-127.0	-33.7%	12.3	3.3	Sell	1.9
Southwest Airlines	Industrials	41.3	12.2	0.0	2.7	-1.0	1.0	14.3	0.5%	-6.0	2.7	Buy	20.2
Dollar Tree	Consumer Staples	94.2	14.0	-1.3	5.0	-0.3	1.9	-16.4	11.1%	-0.2	2.9	Buy	18.4
Dollar General	Consumer Staples	113.3	15.6	-1.2	2.9	-1.4	1.8	-3.0	25.3%	11.7	2.4	Buy	24.9
Adv.Auto Parts	Consumer	56.2	18.4	0.0	1.5	-1.4	1.0	-47.0	16.8%	-8.2	3.0	Neutral	3.4
Autozone	Consumer	3496.2	21.3	1.1	-17.1	0.3	5.3	2.4	4.7%	11.2	1.9	Buy	57.6
O'Reilly Automotive	Consumer	93.0	28.0	1.3	-102.5	-0.3	8.3	-11.2	-27.9%	14.3	2.0	Buy	77.0
Choice Hotels Intl.	Consumer	106.6	14.2	-2.0	27.1	0.4	4.8	37.2	3.0%	-12.3	3.0	Neutral	4.8
Six Flags Entertainment	Consumer	22.0	-122.8	-2.7	4.1	0.1	#N/A	#N/A	-40.1%	7.2	2.2	Buy	2.3
United Parks And Resorts	Consumer	39.2	9.4	-0.3	-4.6	0.3	1.2	-16.9	-13.7%	-13.5	2.5	Neutral	1.9
Kohl's	Consumer	14.5	10.4	-0.1	0.4	-1.4	0.6	67.5	-12.1%	-5.6	3.1	Sell	1.6

Source: UBS, Refinitiv Datastream, Holt, Quant answers

European consumer cyclical and staples:

Below we show a scorecard with the stocks in our European consumer cyclicals and staples basket. Our analysis looks at 8 specific factors:

1. **P/E relatives (10%)** – P/E versus own history, normalised across the market. Lower (more negative) z scores = cheaper, more favourable.
2. **P/B relatives (10%)** – P/B versus own history, normalised. Lower z scores = cheaper, more favourable.
3. **Earnings revisions (20%)** – Average of 1 month and 3 month earnings revisions, normalised. Higher z scores = improving earnings expectations.
4. **Forward EPS change (20%)** – Average of 1 month, 3 month and 12-month EPS changes, normalised (1.25x weighting if all three are positive). Higher z scores = improving earnings growth.
5. **UBS crowding (5%)** – Crowded longs score positively. After normalisation, lower (more negative) z scores = more contrarian, more favourable.
6. **Analyst recommendations (5%)** – Scale from 1 (buy) to 5 (sell), normalised. Higher z scores imply more bearish consensus and are treated as a contrarian positive.
7. **Price momentum (20%)** – Average of 1-month, 3 month relative performance, and 12 month relative performance (all vs MSCI ACWI), normalised (1.25x weighting if all three are positive). Higher z scores = stronger momentum.
8. **ROE over ROE volatility (10%)** – Profitability stability measure, normalised. Higher z scores = higher quality.

We then compute a weighted average of the 8 factor scores and normalise against the market before ranking the stocks.

Based on this, the highest ranked buy recommendations in consumer cyclicals are Zalando, Inditex and Next whereas in consumer staples, they are Carlsberg, Heineken, L'Oreal and Ab-Inbev.

If we just look for consumer cyclicals that are cheap on P/E relatives (against the market versus their historic norm) with positive earnings momentum, then we would focus on Moncler, Inditex and Richemont.

Figure 64: European Consumer Cyclical basket screen scorecard

Name	Abs P/E	P/E relative (-)	Abs P/B	P/B ratio (-)	Earnings momentum (+)	EPS change (+)	Crowding (- Analyst recs (+))	Price momentum (+)	ROE quality (+)	Overall score (+)	Rank within STOXX 600	Analyst rating	
MONCLER	22.34	-0.94	3.87	-1.54	0.60	-0.15	-3.71	-0.12	-0.40	0.27	126	Neutral	
ZALANDO	14.45	-1.50	1.99	-1.49	-0.11	0.02	0.29	-1.06	-0.76	-0.38	0.60	141	Buy
VOLKSWAGEN PREF.	4.11	-1.20	0.25	-1.55	-0.45	-0.24	-1.13	0.06	-0.48	-0.41	0.64	124	Neutral
HERMES INTL.	35.23	-1.86	9.32	-3.08	-1.58	-0.28	-0.48	-0.66	-0.86	0.38	0.48	170	Neutral
BMW	7.28	-0.27	0.51	-1.33	-0.58	-0.27	-1.37	0.67	-0.45	-0.41	0.26	216	Neutral
HENNES & MAURITZ B	20.34	-0.38	6.47	-0.25	-0.73	-0.08	-1.11	2.30	-0.31	-0.49	0.16	235	Neutral
INDUSTRIA DE DISEÑO TEXTIL	24.03	-0.33	8.18	-0.40	0.38	-0.06	-0.03	0.55	-0.32	-0.39	0.10	247	Buy
NEXT	16.40	0.93	9.68	-0.84	1.37	0.03	2.68	0.04	-0.25	-0.53	0.00	263	Buy
RENAULT	4.69	0.08	0.30	-1.11	-0.48	-0.70	-0.91	-0.05	-0.82	-0.49	-0.37	338	Sell
RYANAIR HOLDINGS	10.28	-0.22	3.55	-0.54	-0.58	-0.20	-0.22	-0.73	-0.52	-0.54	-0.52	371	Buy
RICHEMONT N	23.11	-0.30	4.41	0.11	-0.02	-0.15	0.84	-0.18	-0.09	-0.41	-0.52	369	Buy
STELLANTIS	6.51	0.41	0.51	-1.60	-2.00	-0.70	-1.00	1.01	-0.58	-0.56	-0.89	429	Buy
KERING	30.25	1.99	1.96	-1.42	-2.35	-0.32	-2.21	1.24	-0.04	-0.56	-1.42	469	Neutral
DAIMLER TRUCK HOLDING E	11.47	2.08	1.54	0.14	-0.69	-0.39	-0.54	0.06	-0.30				Neutral
EASVET	7.69	0.02	0.80	-1.61	-1.60	-1.52	-0.61	0.29	-0.99				Buy

Source: UBS, Refinitiv Datastream, BBG, Holt, Quant answers

Figure 65: European Consumer Staples basket screen scorecard

Name	Abs P/E	P/E relative (-)	Abs P/B	P/B ratio (-)	Earnings momentum (+)	EPS change (+)	Crowding (- Analyst recs)	Price momentum (+)	ROE quality (+)	Overall score (+)	Rank within STOXX 600	Analyst rating	
CARLSBERG B	12.19	-1.92	3.85	-0.57	1.21	0.00	-0.28	-0.84	-0.45	-0.49	1.30	32	Buy
HEINEKEN	12.72	-2.12	2.10	-1.65	0.06	-0.09	-0.81	-0.66	-0.58	1.55	1.09	54	Buy
DIAGEO	12.30	-2.38	4.06	-2.17	-0.88	-0.26	-0.99	-0.25	-0.66	-0.52	1.00	64	Neutral
L'OREAL	26.91	-1.21	5.74	-1.42	0.00	-0.10	0.19	0.04	-0.25	-0.27	0.66	123	Buy
NESTLÉ N	17.97	-1.38	6.27	-0.89	-0.20	-0.20	-0.30	0.38	-0.31	-0.17	0.51	162	Neutral
BEIERSDORF	16.86	-3.10	1.88	-2.11	-1.63	-0.35	-2.13	0.38	-1.02	2.41	0.79	97	Neutral
ASSOCIATED BRIT. FOODS	11.03	-1.19	1.19	-1.11	-0.84	-0.42	-2.60	2.16	-0.45	0.04	0.80	95	Neutral
CARREFOUR	9.31	-0.76	1.06	-1.07	-0.70	-0.02	-0.95	0.56	0.19	1.48	0.34	197	Neutral
ANHEUSER-BUSCH INBEV	16.32	-0.93	1.63	-0.96	-0.32	0.10	-0.01	-1.06	0.13	4.34	0.20	230	Buy
HENKEL PREFERENCE	11.62	-2.00	1.28	-1.15	-1.25	-0.26	-0.61	1.13	-0.55	0.28	0.39	190	Neutral
UNILEVER (UK)	15.05	-1.79	28.22	0.22	-0.48	-0.26	2.06	0.29	-0.57	-0.44	-0.41	348	Sell
MARKS & SPENCER GROUP	10.27	-1.02	59.71	1.33	-0.17	-0.10	-0.25	-1.27	-0.62	-0.48	-0.71	399	Buy
SAINSBURY J	13.42	0.22	1.20	0.48	-0.36	-0.24	-0.18	0.20	-0.37	0.35	-0.84	413	Buy
TESCO	15.51	0.03	2.22	0.14	-0.10	-0.06	2.64	-0.55	-0.10	-0.43	-1.04	434	Buy
RECKITT BENCKISER GROUP	13.90	-1.59	4.14	-1.26	-1.66	-0.37	2.78	-0.55	-0.68	-0.48	-0.95	428	Buy
DANONE	16.88	-0.69	2.74	-0.83	-1.63	-0.16	1.10	-0.30	-0.56	1.58	-1.10	442	Buy

Source: UBS, Refinitiv Datastream, BBG, Holt, Quant answers

Appendix

We show our earnings scorecards for both Global and Europe.

Figure 66: Global earnings revisions

Global sectors	Change in 12m fwd EPS		Earnings breadth		Total Z-score	Change, prev. month
	1-month	3-month	1-month	3-month		
Energy	15.0%	37.4%	15.5%	6.4%	2.65	1
Technology Hardware	13.1%	24.6%	5.5%	8.5%	1.90	1
Semiconductors	7.3%	27.5%	7.9%	10.5%	1.80	-2
Metals and Mining	4.7%	13.4%	3.4%	7.6%	0.97	0
Chemicals	7.1%	13.1%	2.3%	-0.7%	0.69	6
Software	1.7%	0.9%	2.9%	5.3%	0.35	-1
Banks	2.5%	4.2%	0.3%	4.1%	0.31	-1
Capital Goods	2.0%	4.1%	0.6%	1.3%	0.16	0
Diversified Financials	0.4%	1.4%	-0.1%	2.4%	0.02	-2
Insurance	1.6%	2.8%	-1.4%	0.9%	0.01	0
Pharmaceuticals	0.8%	2.9%	0.0%	0.5%	0.00	1
Utilities	1.5%	1.5%	-1.0%	-0.1%	-0.06	1
Tobacco	1.1%	1.9%	-4.1%	0.5%	-0.17	-4
Commercial Services	-0.6%	-0.2%	0.5%	-1.7%	-0.25	4
Food Producers	2.2%	-1.4%	-3.1%	-3.2%	-0.31	7
Healthcare Equipment	1.1%	0.0%	-3.5%	-2.1%	-0.32	-2
Transportation	0.3%	2.7%	-3.2%	-3.1%	-0.33	-1
Retailing	2.7%	0.8%	-4.6%	-4.5%	-0.35	1
Food Retail	0.1%	0.4%	-4.1%	-2.7%	-0.42	-4
Telecoms	0.3%	-2.7%	-2.7%	-3.1%	-0.45	0
Beverages	0.2%	2.6%	-9.3%	-4.2%	-0.64	-4
Consumer Durables	0.1%	-0.9%	-7.7%	-5.3%	-0.72	2
Pulp & Paper	1.5%	1.9%	-8.7%	-10.1%	-0.82	3
Household Products	0.2%	1.3%	-12.3%	-7.0%	-0.92	1
Hotels & Leisure	-1.6%	-1.0%	-9.1%	-6.3%	-0.93	-4
Construction Materials	-0.9%	0.0%	-7.1%	-9.9%	-0.95	1
Autos	-1.3%	-6.2%	-11.5%	-7.6%	-1.20	-4

Source: UBS, Refinitiv Datastream

Figure 67: European earnings revisions

European Sectors	Change in 12m fwd EPS		Earnings breadth		Total Z-score	Change, prev. month
	1-month	3-month	1-month	3-month		
Energy	16.6%	42.1%	28.8%	14.1%	3.35	0
Semiconductors	7.6%	12.3%	20.8%	21.6%	1.92	0
Metals and Mining	6.8%	11.0%	-0.6%	4.8%	0.85	0
Banks	2.1%	3.6%	0.1%	5.5%	0.36	0
Utilities	2.1%	1.6%	3.7%	2.9%	0.32	1
Software	1.8%	-0.1%	5.4%	3.6%	0.31	-1
Technology Hardware	1.3%	0.1%	2.3%	2.6%	0.18	0
Insurance	1.6%	-0.1%	2.6%	1.4%	0.17	1
Construction Materials	7.5%	2.2%	-3.7%	-11.3%	0.14	12
Capital Goods	2.7%	0.7%	0.2%	-2.4%	0.10	2
Retailing	2.2%	2.0%	-4.2%	-3.1%	-0.02	-1
Diversified Financials	1.0%	-0.8%	-0.5%	-0.4%	-0.02	-4
Telecoms	2.6%	-0.1%	-2.8%	-5.0%	-0.07	3
Pharmaceuticals	1.2%	-1.8%	-0.4%	-2.9%	-0.10	1
Chemicals	3.0%	0.0%	-4.8%	-9.0%	-0.20	9
Beverages	0.8%	2.4%	-9.2%	-5.0%	-0.28	-3
Food Retail	1.2%	0.0%	-10.2%	-6.5%	-0.38	-3
Food Producers	4.2%	0.0%	-11.6%	-12.8%	-0.38	7
Commercial Services	1.2%	-0.8%	-9.6%	-7.5%	-0.42	-2
Healthcare Equipment	0.4%	-0.9%	-4.9%	-11.1%	-0.47	2
Tobacco	1.7%	-1.3%	-15.5%	-6.1%	-0.50	-10
Transportation	-0.1%	-1.3%	-10.7%	-8.5%	-0.58	-3
Pulp & Paper	-0.6%	-1.3%	-8.1%	-11.5%	-0.63	-3
Autos	0.4%	-8.1%	-6.8%	-12.0%	-0.74	2
Consumer Durables	-0.1%	-3.8%	-13.5%	-13.0%	-0.83	-2
Hotels & Leisure	-2.0%	-4.3%	-16.3%	-10.3%	-0.97	-8
Household Products	0.7%	-0.6%	-22.7%	-19.7%	-1.09	0

Source: UBS, Refinitiv Datastream

Valuation Method and Risk Statement

Investing in global equities poses currency, country, industry, and company-specific risks. Valuations can be impacted by company-specific factors, investor risk appetite, as well as changes in the macroeconomic landscape and financial market stability.

Risks of multi-asset investing include but are not limited to market risk, credit risk, interest rate risk, and foreign exchange risk. Correlations of returns among different asset classes may deviate from historical patterns. Geopolitical events and policy shocks pose risks that can reduce asset returns. Valuations may be adversely affected during times of high market volatility, thin liquidity, and economic dislocation. Valuation methods across sectors include DCF, SOTP and multiples analysis.

The HOLT methodology does not assign ratings or a target price to a security. It is an analytical tool that involves use of a set of proprietary quantitative algorithms and warranted value calculations, collectively called the HOLT valuation model, that are consistently applied to all the companies included in its database. The HOLT valuation model is a discounted cash flow model. Third-party data (including consensus earnings estimates) are systematically translated into a number of default variables and incorporated into the algorithms available in the HOLT valuation model. The source financial statement, pricing, and earnings data provided by outside data vendors are subject to quality control and may also be adjusted to more closely measure the underlying economics of firm performance. These adjustments provide consistency when analyzing a single company across time, or analyzing multiple companies across industries or national borders.

The default scenario that is produced by the HOLT valuation model establishes a warranted price that represents the expected mean value for a security based upon empirically derived fade algorithms that forecast a firm's future return on capital and growth rates over an extended period of time. As the third-party data are updated, the warranted price updates automatically. A company's future achieved return on capital or growth rate may differ from HOLT default forecast. Additional information about the HOLT methodology is available upon request.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG London Branch: Andrew Garthwaite, Marc el Koussa.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Advance Auto Parts, Inc. ^{28,16b}	AAP.N	Neutral	US\$47.17	15 May 2026
Allegiant Travel Company ^{20a,16b}	ALGT.O	Neutral (CBE)	US\$74.90	15 May 2026
Amazon.com ^{28,16b}	AMZN.O	Buy	US\$264.14	15 May 2026
Anheuser-Busch InBev ^{28,7,16b}	ABI.BR	Buy	€69.62	18 May 2026
Associated British Foods ^{14,4,28,6c,3a}	ABF.L	Neutral	1,840p	18 May 2026
AutoZone Inc. ^{28,16b}	AZO.N	Buy	US\$3,321.15	15 May 2026
BMW ^{20a,28}	BMWG.DE	Neutral (CBE)	€74.12	18 May 2026
BYD - A ^{18a,16a}	002594.SZ	Buy	Rmb94.51	18 May 2026
BYD Company Limited ^{18a,16a}	1211.HK	Buy	HK\$93.80	18 May 2026
Bajaj Auto	BAJA.BO	Sell	Rs10,198.65	18 May 2026
Beiersdorf ²⁸	BEIG.DE	Neutral	€70.24	18 May 2026
Carlsberg A/S ²⁸	CARLb.CO	Buy	DKr831.20	18 May 2026
Carrefour SA ^{13,28}	CARR.PA	Neutral	€17.46	18 May 2026
Choice Hotels International, Inc. ^{28,16b}	CHH.N	Neutral	US\$106.94	15 May 2026
Chongqing Changan Automobile - A ^{18a}	000625.SZ	Neutral	Rmb8.61	18 May 2026
Colgate-Palmolive ^{28,16b}	CL.N	Buy	US\$88.13	15 May 2026
Columbia Sportswear Company ^{20a,28,16b}	COLM.O	Sell (CBE)	US\$57.75	15 May 2026
Compagnie Financiere Richemont SA ^{13,5,28,7,59a}	CFR.S	Buy	CHF154.65	18 May 2026
Contemporary Amperex Technology ^{13,4,18a,18b,16a}	300750.SZ	Buy	Rmb417.23	18 May 2026
Contemporary Amperex Technology ^{13,4,18a,18b,16a}	3750.HK	Buy	HK\$674.50	18 May 2026
Daimler Truck Holding AG ^{12,4,28,6c}	DTGGe.DE	Neutral	€39.93	18 May 2026
Danone ²⁸	DANO.PA	Buy	€62.50	18 May 2026
Denso ²⁸	6902.T	Neutral	¥1,839	18 May 2026
Diageo ^{2,4,5,28,7,6c,16b}	DGE.L	Neutral	1,553p	18 May 2026
Dillard's Inc ^{16b}	DDS.N	Sell	US\$538.69	15 May 2026
Dollar General Corp ^{28,16b}	DG.N	Buy	US\$102.38	15 May 2026
Dollar Tree ^{28,16b}	DLTR.O	Buy	US\$89.58	15 May 2026
Dr. Ing. h.c. F. Porsche AG ^{20a,28}	P911_p.DE	Neutral (CBE)	€45.83	18 May 2026
Eicher Motors ²⁸	EICH.BO	Neutral	Rs6,910.5	18 May 2026
Ferrari NV ^{4,28,7,6c,16b}	RACE.N	Buy	US\$321.20	15 May 2026
Ford Motor Co. ^{28,7,6a,6b,16b}	F.N	Buy	US\$13.40	15 May 2026
Frontier Group Holdings Inc ^{20a,28,16b}	ULCC.O	Neutral (CBE)	US\$4.75	15 May 2026
Geely Automobile ^{16a}	0175.HK	Neutral	HK\$20.58	18 May 2026
General Motors Company ^{4,28,6c,16b}	GM.N	Buy	US\$74.86	15 May 2026
Guangzhou Automobile Group - A ^{18a}	601238.SS	Sell	Rmb6.43	18 May 2026
H & M	HMb.ST	Neutral	SKr164.15	18 May 2026
Heineken ^{12,2,4,5,28,6c}	HEIN.AS	Buy	€66.34	18 May 2026
Henkel ^{28,7,6a}	HNKG_p.DE	Neutral	€65.48	18 May 2026

Company Name	Reuters	12-month rating	Price	Price date
Hermès International SCA ²⁸	HRMS.PA	Neutral	€1,580	18 May 2026
Hero MotoCorp ²⁸	HROM.BO	Sell	Rs4,956.1	18 May 2026
Honda Motor ^{28,16b}	7267.T	Neutral	¥1,343	18 May 2026
Hyundai Mobis ^{6c,3b}	012330.KS	Buy	Won571,000	18 May 2026
Hyundai Motor ²⁸	005380.KS	Neutral	Won663,000	18 May 2026
Inditex SA ²⁸	ITX.MC	Buy	€50.16	18 May 2026
Isuzu Motors ²⁸	7202.T	Neutral	¥2,215	18 May 2026
J Sainsbury PLC ^{14,4,5,28,7,18b}	SBRY.L	Buy	310p	18 May 2026
JetBlue Airways Corp ^{20a,16b}	JBLU.O	Sell (CBE)	US\$4.58	15 May 2026
Jianghuai Automobile	600418.SS	Neutral	Rmb45.11	18 May 2026
Kenvue Inc ^{2,13,4,5,28,7,6c,16b}	KVUE.N	Neutral	US\$17.11	15 May 2026
Kering ^{20a,28}	P RTP.PA	Neutral (CBE)	€239.50	18 May 2026
Kia Corp ²⁸	000270.KS	Buy	Won162,500	18 May 2026
Kimberly-Clark Corp ^{28,16b}	KMB.O	Neutral	US\$95.91	15 May 2026
Kohl's Corp ^{20a,28,16b}	KSS.N	Sell (CBE)	US\$11.77	15 May 2026
Kweichow Moutai	600519.SS	Buy	Rmb1,323	18 May 2026
L'Oréal ^{28,7,6a,6b}	OREP.PA	Buy	€357.85	18 May 2026
LG Energy Solution	373220.KS	Buy	Won408,000	18 May 2026
LVMH Moët Hennessy Louis Vuitton SA ^{3c,28}	LVMH.PA	Restricted	€456.25	18 May 2026
Li Ning ^{13,28,16a}	2331.HK	Buy	HK\$18.49	18 May 2026
Macy's Inc ^{20a,28,7,16b}	M.N	Sell (CBE)	US\$18.41	15 May 2026
Mahindra & Mahindra ²⁸	MAHM.BO	Buy	Rs3,083.25	18 May 2026
Marks & Spencer ²⁸	MKS.L	Buy	327p	18 May 2026
Maruti Suzuki India	MRTI.BO	Neutral	Rs13,014.75	18 May 2026
Mercedes-Benz Group AG ^{20a,28,7,6a,6b}	MBGn.DE	Neutral (CBE)	€49.97	18 May 2026
Michelin ^{13,28,7}	MICP.PA	Neutral	€31.15	18 May 2026
Moncler Spa ²⁸	MONC.MI	Neutral	€49.25	18 May 2026
Nestlé ^{12,13,4,5,28,7,6a,6b,6c,59b}	NESN.S	Neutral	CHF78.24	18 May 2026
Next ^{2,14,4,5,28,7,6c}	NXT.L	Buy	12,633p	18 May 2026
Nissan Motor ^{13,28}	7201.T	Sell	¥356	18 May 2026
O'Reilly Automotive, Inc. ^{28,16b}	ORLY.O	Buy	US\$88.49	15 May 2026
Porsche Automobil Holding SE ^{13,20a,28}	PSHG_p.DE	Neutral (CBE)	€31.65	18 May 2026
Procter & Gamble ^{2,4,28,6c,16b}	PG.N	Buy	US\$141.57	15 May 2026
QuantumScape Corp ^{4,20b,28,6c,16b}	QS.O	Sell (CBE)	US\$8.01	15 May 2026
Reckitt Benckiser ²⁸	RKT.L	Buy	4,696p	18 May 2026
Renault ^{20a,28,7}	RENA.PA	Sell (CBE)	€28.60	18 May 2026
Rivian Automotive, Inc. ^{20a,28,16b}	RIVN.O	Neutral (CBE)	US\$13.79	15 May 2026
Ryanair ^{28,16b}	RYA.I	Buy	€23.09	18 May 2026
Santander Brasil ^{20a,7,16b}	SANB11.SA	Buy (CBE)	R\$26.92	15 May 2026
Seres Group	601127.SS	Neutral	Rmb81.80	18 May 2026
Six Flags Entertainment Corp ^{20a,28,16b}	FUN.N	Buy (CBE)	US\$21.32	15 May 2026
Southwest Airlines ^{13,20a,28,16b}	LUV.N	Buy (CBE)	US\$38.50	15 May 2026
Stellantis N.V. ^{20a,28,7,16b}	STLAM.MI	Buy (CBE)	€6.40	18 May 2026
Subaru ²⁸	7270.T	Neutral	¥2,385	18 May 2026

Company Name	Reuters	12-month rating	Price	Price date
Sumitomo Electric Industries ^{28,7}	5802.T	Buy	¥11,380	18 May 2026
Tata Motors Passenger Vehicles	TAMO.BO	Sell	Rs353.00	18 May 2026
Tesco PLC ²⁸	TSCO.L	Buy	462p	18 May 2026
Tesla, Inc. ^{20a,28,16b}	TSLA.O	Neutral (CBE)	US\$422.24	15 May 2026
The Cheesecake Factory Inc ^{13,28,16b}	CAKE.O	Sell	US\$59.49	15 May 2026
The Estée Lauder Companies Inc ^{28,16b}	EL.N	Neutral	US\$80.28	15 May 2026
Toyota Motor ^{2,4,5,28,7,6c,16b}	7203.T	Buy	¥2,955	18 May 2026
Unilever Plc ^{4,28,6c,16b}	ULVR.L	Sell	4,255p	18 May 2026
United Parks & Resorts Inc ^{20a,28,16b}	PRKS.N	Neutral (CBE)	US\$36.13	15 May 2026
Volkswagen ^{20a,4,28,18b}	VOWG_p.DE	Neutral (CBE)	€87.78	18 May 2026
Volvo Car AB ^{12,20a}	VOLCARb.ST	Sell (CBE)	SKr22.15	18 May 2026
Yum! Brands ^{28,7,16b}	YUM.N	Buy	US\$149.97	15 May 2026
Zalando SE ^{20a,28}	ZALG.DE	Buy (CBE)	€19.65	18 May 2026
Zhejiang Leapmotor Technology	9863.HK	Neutral	HK\$41.68	18 May 2026
easyJet ²⁸	EZJ.L	Buy	340p	18 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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